

Executive Order No. 297

EXECUTIVE ORDER NO. 292

INSTITUTING THE "ADMINISTRATIVE CODE OF 1987"

WHEREAS, the Administrative Code currently in force was first forged in 1917 when the relationship between the people and the government was defined by the colonial order then prevailing;

WHEREAS, efforts to achieve an integrative and over-all recodification of its provisions resulted in the Administrative Code of 1978 which, however, was never published and later expressly repealed;

WHEREAS, the effectiveness of the Government will be enhanced by a new Administrative Code which incorporates in a unified document the major structural, functional and procedural principles and rules of governance; and

WHEREAS, a new Administrative Code will be of optimum benefit to the people and Government officers and employees as it embodies changes in administrative structures and procedures designed to serve the people;

NOW, THEREFORE, I, CORAZON C. AQUINO, President of the Philippines, by virtue of the powers vested in me by the Constitution, do hereby promulgate the Administrative Code of 1987, as follows:

INTRODUCTORY PROVISIONS

Section 1. **Title.** - This Act shall be known as the "Administrative Code of 1987."

Section 2. **General Terms Defined.** - Unless the specific words of the text, or the context as a whole, or a particular statute, shall require a different meaning:

(1) **Government of the Republic of the Philippines** refers to the corporate governmental entity through which the functions of government are exercised throughout the Philippines, including, save as the contrary appears from the context, the various arms through which political authority is made effective in the Philippines, whether pertaining to the autonomous regions, the provincial, city, municipal or barangay subdivisions or other forms of local government.

(2) **National Government** refers to the entire machinery of the central government, as distinguished from the different forms of local governments.

(3) **Local Government** refers to the political subdivisions established by or in accordance with the Constitution.

(4) **Agency of the Government** refers to any of the various units of the Government, including a department, bureau, office, instrumentality, or government-owned or controlled corporations, or a local government or a distinct unit therein.

(5)	National Agency refers to a unit of the National Government.

(6)	Local Agency refers to a local government or a distinct unit therein.

(7)	Department refers to an executive department created by law. For purposes of Book IV, this shall include any instrumentality, as herein defined, having or assigned the rank of a department, regardless of its name or designation.

(8)	Bureau refers to any principal subdivision or unit of any department. For purposes of Book IV, this shall include any principal subdivision or unit of any instrumentality given or assigned the rank of a bureau, regardless of actual name or designation, as in the case of department-wide regional offices.

(9)	Office refers, within the framework of governmental organization, to any major functional unit of a department or bureau including regional offices. It may also refer to any position held or occupied by individual persons, whose functions are defined by law or regulation.

(10)	Instrumentality refers to any agency of the National Government, not integrated within the department framework vested within special functions or jurisdiction by law, endowed with some if not all corporate powers, administering special funds, and enjoying operational autonomy, usually through a charter. This term includes regulatory agencies, chartered institutions and government-owned or controlled corporations.

(11)	Regulatory agency refers to any agency expressly vested with jurisdiction to regulate, administer or adjudicate matters affecting substantial rights and interests of private persons, the principal powers of which are exercised by a collective body, such as a commission, board or council.

(12)	Chartered institution refers to any agency organized or operating under a special charter, and vested by law with functions relating to specific constitutional policies or objectives. This term includes the state universities and colleges and the monetary authority of the State.

(13)	Government-owned or controlled corporation refers to any agency organized as a stock or non-stock corporation, vested with functions relating to public needs whether governmental or proprietary in nature, and owned by the Government directly or through its instrumentalities either wholly, or, where applicable as in the case of stock corporations, to the extent of at least fifty-one (51) per cent of its capital stock: Provided, That government-owned or controlled corporations may be further categorized by the Department of the Budget, the Civil Service Commission, and the Commission on Audit for purposes of the exercise and discharge of their respective powers, functions and responsibilities with respect to such corporations.

(14)	"Officer" as distinguished from "clerk" or "employee", refers to a person whose duties, not being of a clerical or manual nature, involves the exercise of discretion in the performance of the functions of the government. When used with reference to a person having authority to do a particular act or perform a particular function in the exercise of governmental power, "officer" includes any government employee, agent or body having authority to do the act or exercise that function.

(15)	"Employee", when used with reference to a person in the public service, includes any person in the service of the government or any of its agencies, divisions, subdivisions or instrumentalities.

BOOK I

SOVEREIGNTY AND GENERAL ADMINISTRATION

CHAPTER 1 THE NATIONAL TERRITORY

Section 3. §; What Comprises National Territory. - The national territory comprises the Philippine archipelago, with all the islands and waters embraced therein, and all other territories over which the Philippines has sovereignty or jurisdiction, consisting of its terrestrial, fluvial, and aerial domains, including its territorial sea, the seabed, the subsoil, the insular shelves, and other submarine areas. The waters around, between, and connecting the islands of the archipelago, regardless of their breadth and dimensions, form part of the internal waters of the Philippines.

Section 4. §; Territorial Subdivision of the Philippines. - The territorial and political subdivisions of the Philippines are the autonomous regions, provinces, subprovinces, cities, municipalities and barangays.

CHAPTER 2 THE PEOPLE

Section 5. §; Who are Citizens. - The following are the citizens of the Philippines:

(1)§;Those who are citizens of the Philippines at the time of the adoption of the Constitution;

(2)§;Those whose fathers or mothers are citizens of the Philippines;

(3)§;Those born before January 17, 1973, of Filipino mothers, who elect Philippine citizenship, unless by the act or omission they are deemed, under the law, to have renounced it.

(4)§;Those who are naturalized in accordance with law.

Section 6. §; Effect of Marriage. - Citizens of the Philippines who marry aliens shall retain their citizenship, unless by their act or omission they are deemed, under the law, to have renounced it.

Section 7. §; Natural-born Citizen. - Natural-born citizens are those who are citizens of the Philippines from birth without having to perform any act to acquire or perfect their Philippine citizenship. Those who elect Philippine citizenship in accordance with the Constitution shall be deemed natural-born citizens.

Section 8. §; Loss or Reacquisition of Citizenship. - Philippine citizenship may be lost or reacquired in the manner provided by law.

Section 9. §; Dual Allegiance. - Dual allegiance is inimical to the national interest and shall be dealt with by law.

CHAPTER 3 STATE IMMUNITY FROM SUIT

Section 10. §; Non-suability of the State. - No suit shall lie against the State except with its consent as provided by law.

Section 11. §; The State's Responsibility for Acts of Agents. -

(1) The State shall be legally bound and responsible only through the acts performed in accordance with the Constitution and the laws by its duly authorized representatives.

(2)	The State shall not be bound by the mistakes or errors of its officers or agents in the exercise of their functions.

CHAPTER 4 NATIONAL SYMBOLS AND OFFICIAL LANGUAGES

##### Section 12. 	 National Flag. -

(1) The flag of the Philippines shall be red, white and blue, with a sun and three stars, as consecrated and honored by the people and recognized by law.

(2)	The custody, ceremonial use, occasion and manner of display, and the proper care and disposition of the flag shall be governed by appropriate rules and regulations.

Section 13. 	National Anthem. - Until otherwise provided by law, the musical arrangement and composition of Julian Felipe is adopted as the national anthem. It shall be sung or played upon the opening or start of all state celebrations or gatherings and on such other occasions as may be prescribed by appropriate rules and regulations.

##### Section 14. 	 Arms and Great Seal of the Republic of the Philippines. -

(1) The Arms shall have paleways of two (2) pieces, azure and gules; a chief argent studded with three mullets equidistant from each other; and, in point of honor, ovoid argent over all the sun rayonnant with eight minor and lesser rays. Beneath shall be a scroll with the words "Republic of the Philippines, " or its equivalent in the national language, inscribed thereon.

(2)	The Great Seal shall be circular in form, with the arms as described in the preceding paragraph, but without the scroll and the inscription thereon, and surrounding the whole, a double marginal circle within which shall appear the words "Republic of the Philippines," or its equivalent in the national language. For the purpose of placing the Great Seal, the color of the arms shall not be deemed essential.

Section 15. 	 Use and Custody of Great Seal. - The Great Seal shall be affixed to or placed upon all commissions signed by the President and upon such other official documents and papers of the Republic of the Philippines as may be required by custom and usage. The President shall have custody of the Great Seal.

Section 16. 	 Arms, Seals and Banners of Government Offices. - The various offices of government may adopt appropriate coats-of-arms, seals and banners.

Section 17. 	 Official Languages. - Until otherwise provided by law, Pilipino and English shall be the official languages.

CHAPTER 5 OPERATION AND EFFECT OF LAWS

Section 18. 	 When Laws Take Effect. - Laws shall take effect after fifteen (15) days following the completion of their publication in the Official Gazette or in a newspaper of general circulation, unless it is otherwise provided.

Section 19. §; Prospectivity. - Laws shall have prospective effect unless the contrary is expressly provided.

Section 20. §; Interpretation of Laws and Administrative Issuances. - In the interpretation of a law or administrative issuance promulgated in all the official languages, the English text shall control, unless otherwise specifically provided. In case of ambiguity, omission or mistake, the other texts may be consulted.

Section 21. §; No Implied Revival of Repealed Law. - When a law which expressly repeals a prior law itself repealed, the law first repealed shall not be thereby revived unless expressly so provided.

Section 22. §; Revival of Law Impliedly Repealed. - When a law which impliedly repeals a prior law is itself repealed, the prior law shall thereby be revived, unless the repealing law provides otherwise.

Section 23. §; Ignorance of the Law. - Ignorance of the law excuses no one from compliance therewith.

CHAPTER 6 OFFICIAL GAZETTE

Section 24. §; Contents. - There shall be published in the Official Gazette all legislative acts and resolutions of a public nature; all executive and administrative issuances of general application; decisions or abstracts of decisions of the Supreme Court and the Court of Appeals, or other courts of similar rank, as may be deemed by said courts of sufficient importance to be so published; such documents or classes of documents as may be required so to be published by law; and such documents or classes of documents as the President shall determine from time to time to have general application or which he may authorize so to be published.

The publication of any law, resolution or other official documents in the Official Gazette shall be prima facie evidence of its authority. lawphi1.net

Section 25. §; Editing and Publications. - The Official Gazette shall be edited in the Office of the President and published weekly in Pilipino or in the English language. It shall be sold and distributed by the National Printing Office which shall promptly mail copies thereof to subscribers free of postage.

CHAPTER 7 REGULAR HOLIDAYS AND NATIONWIDE SPECIAL DAYS

Section 26. §; Regular Holidays and Nationwide Special Days. -

Unless otherwise modified by law, order or proclamation, the following regular holidays and special days shall be observed in this country:

(A)

Regular Holidays

New Year's Day

January 1

Maundy Thursday

Movable date

Good Friday

Movable date

Araw ng Kagitingan (Bataan and Corregidor Day)

April 9

Labor Day

May 1

Independence Day

June 12

National Heroes Day

Last Sunday of August

Bonifacio Day

November 30

Christmas Day

December 25

Rizal Day

December 30

(B)

Nationwide Special Days

All Saints Day

November 1

Last Day of the Year

December 31

		

(2)	The terms "legal or regular holiday" and "special holiday", as used in laws, orders, rules and regulations or other issuances shall be referred to as "regular holiday" and "special day", respectively. lawphi1.net

Section 27. 	 Local Special Days. - The President may proclaim any local special day for a particular date, group or place.

Section 28. §; Pretermission of Holiday. - Where the day, or the last day, for doing any act required or permitted by law falls on a regular holiday or special day, the act may be done on the next succeeding business day. lawphi1.net

CHAPTER 8 LEGAL WEIGHTS MEASURES AND PERIOD

Section 29. §; Official Use of Metric System. - The metric system of weights and measures shall be used in the Philippines for all products, articles, goods, commodities, materials, merchandise, utilities, services, as well as for commercial transactions like contracts, agreements, deeds and other legal instruments publicly and officially attested, and for all official documents. Only weights and measures of the metric system shall be officially sealed and licensed.

Section 30. §; Mandatory Nation-wide Use. - The metric system shall be fully adopted in all agricultural, commercial, industrial, scientific and other sectors. Persons or entities allowed under existing laws to use the English system or other standards and weights are given until the date to be fixed by the Metric System Board to adopt the metric system.

Section 31. §; Legal Periods. - "Year" shall be understood to be twelve calendar months; "month" of thirty days, unless it refers to a specific calendar month in which case it shall be computed according to the number of days the specific month contains; "day," to a day of twenty-four hours; and "night," from sunset to sunrise.

CHAPTER 9 GENERAL PRINCIPLES GOVERNING PUBLIC OFFICERS

Section 32. §; Nature of Public Office. - Public office is a public trust. Public officers and employees must at all times be accountable to the people, serve them with the utmost responsibility, integrity, loyalty and efficiency, act with patriotism and justice, and lead modest lives.

Section 33. §; Policy on Change of Citizenship. - Public officers and employees owe the Senate and the Constitution allegiance at all times, and any public officer or employee who seeks to change his citizenship or acquire the status of an immigrant of another country during his tenure shall be dealt with by law.

Section 34. §; Declaration of Assets, Liabilities and Net Worth. - A public officer or employee shall upon assumption of office and as often thereafter as may be required by law, submit a declaration under oath of his assets, liabilities, and net worth.

Section 35. §; Ethics in Government. - All public officers and employees shall be bound by a Code of Ethics to be promulgated by the Civil Service Commission.

Section 36. §; Inhibition Against Purchase of Property at Tax Sale. - No officer or employee of the government shall purchase directly or indirectly any property sold by the government for the non-payment of any tax, fee or other public charge. Any such purchase by an officer or employee shall be void.

Section 37. § Powers Incidental to Taking of Testimony. - When authority to take testimony or receive evidence is conferred upon any administrative officer or any non-judicial person, committee, or other body, such authority shall include the power to administer oaths, summon witnesses, and require the production of documents by a subpoena duces tecum.

Section 38. § Liability of Superior Officers. -

(1) A public officer shall not be civilly liable for acts done in the performance of his official duties, unless there is a clear showing of bad faith, malice or gross negligence.

(2) § Any public officer who, without just cause, neglects to perform a duty within a period fixed by law or regulation, or within a reasonable period if none is fixed, shall be liable for damages to the private party concerned without prejudice to such other liability as may be prescribed by law.

(3) § A head of a department or a superior officer shall not be civilly liable for the wrongful acts, omissions of duty, negligence, or misfeasance of his subordinates, unless he has actually authorized by written order the specific act or misconduct complained of.

Section 39. § Liability of Subordinate Officers. - No subordinate officer or employee shall be civilly liable for acts done by him in good faith in the performance of his duties. However, he shall be liable for willful or negligent acts done by him which are contrary to law, morals, public policy and good customs even if he acted under orders or instructions of his superiors.

CHAPTER 10 OFFICIAL OATHS

Section 40. § Oaths of Office for Public Officers and Employees. - All public officers and employees of the government including every member of the armed forces shall, before entering upon the discharge of his duties, take an oath or affirmation to uphold and defend the Constitution; that he will bear true faith and allegiance to it; obey the laws, legal orders and decrees promulgated by the duly constituted authorities; will well and faithfully discharge to the best of his ability the duties of the office or position upon which he is about to enter; and that he voluntarily assumes the obligation imposed by his oath of office, without mental reservation or purpose of evasion. Copies of the oath shall be deposited with the Civil Service Commission and the National Archives.

Section 41. § Officers Authorized to Administer Oath. -

(1) The following officers have general authority to administer oath: Notaries public, members of the judiciary, clerks of courts, the Secretary of the either House of the Congress of the Philippines, of departments, bureau directors, registers of deeds, provincial governors and lieutenant-governors, city mayors, municipal mayors and any other officer in the service of the government of the Philippines whose appointment is vested in the President.

(2) § Oaths may also be administered by any officer whose duties, as defined by law or regulation, require presentation to him of any statement under oath..

Section 42. §; Duty to Administer Oath. - Officers authorized to administer oaths, with the exception of notaries public, municipal judges and clerks of court, are not obliged to administer oaths or execute certificates save in matters of official business; and with the exception of notaries public, the officer performing the service in those matters shall charge no fee, unless specifically authorized by law.

CHAPTER 11 OFFICIAL REPORTS

Section 43. §; Annual Reports. - The heads of the several branches, subdivisions, department and agencies or instrumentalities of the Government shall prepare and submit annual reports to the President on or before the first day of July 1 of each year.

Section 44. §; Contents of Reports. - The contents of the annual reports shall be prescribed by law or, in the absence thereof, by executive order.

Section 45. §; Special Reports. - Each chief of Bureau or other officer of the government shall make such special reports concerning the work of his Bureau or Office as may from time to time be required of him by the President of the Philippines or Head of Department.

Section 46. §; Deposit with Archives. - Official copies of annual reports shall be deposited with the National Archives and shall be open to public inspection.

CHAPTER 12 PUBLIC CONTRACTS AND CONVEYANCES

Section 47. §; Contracts and Conveyances. - Contracts or conveyances may be executed for and in behalf of the Government or of any of its branches, subdivisions, agencies, or instrumentalities, including government-owned or controlled corporations, whenever demanded by the exigency or exigencies of the service and as long as the same are not prohibited by law.

Section 48. §; Official Authorized to Convey Real Property. - Whenever real property of the Government is authorized by law to be conveyed, the deed of conveyance shall be executed in behalf of the government by the following:

(1)§;For property belonging to and titled in the name of the Republic of the Philippines, by the President, unless the authority therefor is expressly vested by law in another officer.

(2)§;For property belonging to the Republic of the Philippines but titled in the name of any political subdivision or of any corporate agency or instrumentality, by the executive head of the agency or instrumentality.

Section 49. §; Authority to Convey other Property. - Whenever property other than real is authorized to be conveyed, the contract or deed shall be executed by the head of the agency with the approval of the department head. Where the operations of the agency regularly involve the sale or other disposition of personal property, the deed shall be executed by any officer or employee expressly authorized for that purpose.

Section 50. §; Conveyance of National Government Property to Local Governments. - When the real property belonging to the National Government is needed for school purposes, or other official use by any local government, the President shall authorize its transfer, and the department head or other authority concerned shall execute in favor of the local government the necessary deed of conveyance by way of gift, sale, exchange, or otherwise, and upon such terms as shall be for the interest of the parties concerned. Nothing herein provided shall be deemed to authorize the conveyance of unreserved public land, friar land or any real property held by the Government in trust or for a special purpose defined by law.

Section 51. §; Execution of Contracts. -

(1) Contracts in behalf of the Republic of the Philippines shall be executed by the President unless authority therefor is expressly vested by law or by him in any other public officer.

(2) §; Contracts in behalf of the political subdivisions and corporate agencies or instrumentalities shall be approved by their respective governing boards or councils and executed by their respective executive heads.

BOOK II

DISTRIBUTION OF POWERS OF GOVERNMENT

CHAPTER 1 BASIC PRINCIPLES AND POLICIES

Section 1. §; Guiding Principles and Policies in Government. - Governmental power shall be exercised in accordance with the following basic principles and policies:

(1) §; The Philippines is a democratic and republican State. Sovereignty resides in the people and all government authority emanates from them.

(2) §; The State values the dignity of every human person and guarantees full respect for human rights.

(3) §; Civilian authority is, at all times, supreme over the military.

(4) §; The State shall ensure the autonomy of local governments.

(5) §; The territorial and political subdivisions of the Republic of the Philippines are the provinces, cities, municipalities, and barangays. There shall be autonomous regions, in accordance with the Constitution, in Muslim Mindanao and the Cordilleras as may be provided by law.

(6) §; The separation of Church and State shall be inviolable.

(7) §; The right of the people and their organizations to effective and reasonable participation at all levels of social, political, and economic decision-making shall not be abridged. The State shall, by law, facilitate the establishment of adequate consultation mechanisms.

(8) §; The powers expressly vested in any branch of the Government shall not be exercised by, nor delegated to, any other branch of the Government, except to the extent authorized by the Constitution.

CHAPTER 2 LEGISLATIVE POWER

Section 2. §; Seat of Legislative Power. - The legislative power shall be vested in the Congress of the Philippines which shall consist of a Senate and a House of Representatives, except to the extent reserved to the people by the Constitutional provision on initiative and referendum.

Section 3. §; Inhibitions Against Members of Congress. -

(1) No Senator or Member of the House of Representatives may hold any other office or employment in the Government, or any subdivision agency, or instrumentality thereof, including government-owned or controlled corporations or their subsidiaries, during his term without forfeiting his seat. Neither shall he be appointed to any office which may have been created or the emoluments thereof increased during the term for which he was elected.

(2)§;No Senator or Member of the House of Representatives may personally appear as counsel before any court of justice or before the Electoral Tribunals, or quasi-judicial and other administrative bodies. Neither shall he, directly or indirectly, be interested financially in any contract with, or in any franchise or special privilege granted by the Government, or any subdivision, agency or instrumentality thereof including any government-owned or controlled corporation, or its subsidiary, during his term of office. He shall not intervene in any matter before any office of the Government for his pecuniary benefit or where he may be called upon to act on account of his office.

Section 4. §; Electoral Tribunal. - The Senate and the House of Representatives shall each have an Electoral Tribunal which shall be the sole judge of all contests relating to the election, returns, and qualifications of their respective Members. Each Electoral Tribunal shall be composed of nine (9) Members, three (3) of whom shall be Justices of the Supreme Court to be designated by the Chief Justice, and the remaining six (6) shall be Members of the Senate or the House of Representatives, as the case may be, who shall be chosen on the basis of proportional representation from the political parties and the parties or organizations registered under the party-list system represented therein. The senior Justice in the Electoral Tribunal shall be its Chairman.

Section 5. §; Commission on Appointments. - There shall be a Commission on Appointments consisting of the President of the Senate, as ex officio Chairman, and twelve (12) Senators and twelve (12) Members of the House of Representatives, elected by each House on the basis of proportional representation from the political parties and parties or organizations registered under the party-list system represented therein. The Chairman of the Commission shall not vote, except in case of a tie. The Commission shall act on all appointments submitted to it within thirty (30) session days of the Congress from their submission. The Commission shall rule by a majority vote of all its Members.

Section 6. §; Legislative Investigation. - The Senate or the House of Representatives or any of its respective committees may conduct inquiries in aid of legislation in accordance with its duly published rules of procedure. The rights of persons appearing in or affected by such inquiries shall be respected.

Section 7. § Appearance of Heads of Departments. - The heads of departments may upon their own initiative, with the consent of the President, or upon the request of either House, as the rules of each House shall provide, appear before and be heard by such House on any matter pertaining to their departments. Written questions shall be submitted to the President of the Senate or the Speaker of the House of Representatives at least three (3) days before their scheduled appearance. Interpellations shall not be limited to written questions, but may cover matters related thereto. When the security of the State or the public interest so requires and the President so states in writing, the appearance shall be conducted in executive session.

Section 8. § Initiative and Referendum. - The Congress shall, as early as possible, provide for a system of initiative and referendum and the exceptions therefrom, whereby the people can directly propose and enact laws or approve or reject any act or law or part thereof passed by the Congress or local legislative body after the registration of a petition therefor signed by at least ten (10) per centum of the total number of registered voters, of which every legislative district must be represented by at least three (3) per centum of the registered voters thereof.

Section 9. § Power to Propose Constitutional Amendments. -

(1) Any amendment to, or revision of the Constitution may be proposed by: (a) The Congress, upon a vote of three-fourths (3/4) of all its Members; or (b) a constitutional convention. The Congress may, by a vote of two-thirds (2/3) of all its Members, call a constitutional convention, or by a majority vote of all its Members, submit to the electorate the question of calling such a convention.

(2) § Amendments to the Constitution may likewise be directly proposed by the people through initiative upon a petition of at least twelve (12) per centum of the total number of registered voters, of which every legislative district must be represented by at least three (3) per centum of the registered voters therein. No amendments under this paragraph shall be authorized within five years following the ratification of the 1987 Constitution nor oftener than once every five years thereafter. The Congress shall provide for the implementation of the exercise of this right.

Section 10. § Validity of Constitutional Amendments. -

(1) Any amendment to or revision of the Constitution proposed by Congress or a constitutional convention shall be valid when ratified by a majority of the votes cast in a plebiscite which shall be held not earlier than sixty days (60) nor later than ninety days (90) after the approval of such amendment or revision.

(2) § Any amendment to or revision of the Constitution directly proposed by the people through initiative shall be valid when ratified by a majority of the votes cast in a plebiscite which shall be held not earlier than sixty days (60) nor later than ninety days (90) after the certification by the Commission on Elections of the sufficiency of the petition.

CHAPTER 3 EXECUTIVE POWER

Section 11. §Exercise of Executive Power. - The Executive power shall be vested in the President.

Section 12. §The Vice-President. - There shall be a Vice-President who shall have the same qualifications and term of office and be elected with and in the same manner as the President. He may be removed from office in the same manner as the President.

The Vice-President may be appointed as a Member of the Cabinet. Such appointment requires no confirmation.

Section 13. §Vacancy in Office of the President. - In case of death, permanent disability, removal from office, or resignation of the President, the Vice-President shall become the President to serve the unexpired term. In case of death, permanent disability, removal from office, or resignation of both the President and Vice-President, the President of the Senate or, in case of his inability, the Speaker of the House of Representatives, shall then act as President until the President or Vice-President shall have been elected and qualified.

The Congress shall, by law, provide who shall serve as President in case of death, permanent disability, or resignation of the Acting President. He shall serve until the President or Vice-President shall have been elected and qualified, and be subject to the same restrictions of powers and disqualifications as the Acting President.

Section 14. §Vacancy in Office of the Vice-President. - Whenever there is a vacancy in the Office of the Vice-President during the term for which he was elected, the President shall nominate a Vice-President from among the Members of the Senate and the House of Representatives who shall assume office upon confirmation by a majority vote of all the Members of both Houses of the Congress, voting separately.

Section 15. §Inhibitions Against Executive Officials. - The President, Vice-President, the Members of the Cabinet, and their deputies or assistants shall not, unless otherwise provided in this Constitution, hold any other office or employment during their tenure. They shall not, during said tenure, directly or indirectly practice any other profession, participate in any business, or be financially interested in any contract with, or in any franchise, or special privilege granted by the Government or any subdivision, agency, or instrumentality thereof, including government-owned or controlled corporations or their subsidiaries. They shall strictly avoid conflicts of interest in the conduct of their office.

The spouse and relatives by consanguinity or affinity within the fourth civil degree of the President shall not during his tenure be appointed as Members of the Constitutional Commissions, or the Office of the Ombudsman, or as Secretaries, Undersecretaries, chairmen or heads of bureaus or offices, including government-owned or controlled corporations and their subsidiaries.

CHAPTER 4 JUDICIAL POWER

Section 16. § Judicial Power. - The judicial power shall be vested in one (1) Supreme Court, and in such lower courts as may be established by law. Such lower courts include the Court of Appeals, Sandiganbayan, Court of Tax Appeals, Regional Trial Courts, Shari's District Courts, Metropolitan Trial Courts, Municipal Trial Courts and Municipal Circuit Trial Courts, and Shari'a Circuit Courts and they shall continue to exercise their respective jurisdiction until otherwise provided by law.

Judicial power includes the duty of the courts of justice to settle actual controversies involving rights which are legally demandable and enforceable, and, in cases prescribed by law, to determine whether or not there has been a grave abuse of discretion amounting to lack or excess of jurisdiction on the part of any branch or instrumentality of the Government.

Section 17. § Composition of the Supreme Court. - The Supreme Court shall be composed of a Chief Justice and fourteen Associate Justices. It may sit en banc or in its discretion, in divisions of three, five or seven Members.

Section 18. § Jurisdiction and Powers of Supreme Court. - The Supreme Court shall have the following powers:

(1) § Exercise original jurisdiction over cases affecting ambassadors, other public ministers and consuls, and over petitions for certiorari, prohibition, mandamus, quo warranto, and habeas corpus.

(2) § Review, revise, reverse, modify, or affirm on appeal or certiorari as the law or the Rules of Court may provide, final judgments and orders of lower courts in:

(a) § All cases in which the constitutionality or validity of any treaty, international or executive agreement, law, presidential decree, proclamation, order, instruction, ordinance, or regulation is in question.

(b) § All cases involving the legality of any tax, impost, assessment, or toll, or any penalty imposed in relation thereto.

(c) § All cases in which the jurisdiction of any lower court is in issue.

(d) § All criminal cases in which the penalty imposed is reclusion perpetua or higher.

(e) § All cases in which only an error or question of law is involved.

(3) § Assign temporarily judges of lower courts to other stations as public interest may require. Such temporary assignment shall not exceed six (6) months without the consent of the judge concerned.

(4) § Order a change of venue or place of trial to avoid a miscarriage of justice.

(5) § Promulgate rules concerning the protection and enforcement of constitutional rights, pleading, practice, and procedure in all courts, the admission to the practice of law, the Integrated Bar, and legal assistance to the underprivileged. Such rules shall provide a simplified and inexpensive procedure for the speedy disposition of cases, shall be uniform for all courts of the same grade; and shall not diminish, increase, or modify substantive rights. Rules of procedure of special courts and quasi-judicial bodies shall remain effective unless disapproved by the Supreme Court.

(6)	Appoint all officials and employees of the Judiciary in accordance with the Civil Service law.

Section 19. 	 Apportionment of Jurisdiction. - Congress shall define, prescribe and apportion the jurisdiction of the various courts but may not deprive the Supreme Court of its jurisdiction enumerated in the immediately preceding section. Neither shall a law be passed increasing its appellate jurisdiction as therein specified without its advice and concurrence.

No law shall be passed reorganizing the Judiciary when it undermines the security of tenure of its Members.

Section 20. 	 Administrative Supervision. - The Supreme Court shall have administrative supervision over all courts and the personnel thereof.

Section 21. 	 Judicial and Bar Council. -

(1) A Judicial and Bar Council is hereby created under the supervision of the Supreme Court composed of the Chief Justice as ex officio Chairman, the Secretary of Justice, and a representative of the Congress as ex officio Member, a representative of the Integrated Bar, a professor of law, a retired Member of the Supreme Court, and a representative of the private sector.

(2)	The regular members of the Council shall be appointed by the President for a term of four (4) years with the consent of the Commission of Appointments. Of the Members first appointed, the representative of the Integrated Bar shall serve for four (4) years, the professor of law for three (3) years, the retired Justice for two (2) years, and the representative of the private sector for one (1) year.

(3)	The Clerk of the Supreme Court shall be the Secretary ex officio of the Council and shall keep a record of its proceedings.

(4)	The regular Members of the Council shall receive such emoluments as may be determined by the Supreme Court. The Supreme Court shall provide in its annual budget the appropriations for the Council.

(5)	The Council shall have the principal function of recommending appointees to the Judiciary. It may exercise such other functions and duties as the Supreme Court may assign to it.

Section 22. 	 Appointment of Members of Judiciary. - The Members of the Supreme Court and judges of lower courts shall be appointed by the President from a list of at least three (3) nominees prepared by the Judicial and Bar Council for every vacancy. Such appointments need no confirmation.

For the lower courts, the President shall issue the appointments within ninety (90) days from the submission of the list.

Section 23. 	 Prohibition Against Performing Quasi-Judicial or Administrative Functions. - The Members of the Supreme Court and of other courts established by law shall not be designated to any agency performing quasi-judicial or administrative functions.

CHAPTER 5 CONSTITUTIONAL COMMISSIONS

Section 24. § Constitutional Commissions. - The Constitutional Commissions, which shall be independent, are the Civil Service Commission, the Commission on Elections, and the Commission on Audit.

Section 25. § Inhibitions Against Constitutional Commissioners. - No member of a Constitutional Commission shall, during his tenure, hold any other office or employment. Neither shall he engage in the practice of any profession or in the active management or control of any business which in anyway may be affected by the functions of his office, nor shall he be financially interested, directly or indirectly, in any contract with, or in any franchise or privilege granted by the Government, any of its subdivisions, agencies, or instrumentalities, including government-owned or controlled corporations or their subsidiaries.

Section 26. § Fiscal Autonomy. - The Constitutional Commissions shall enjoy fiscal autonomy. The approved annual appropriations shall be automatically and regularly released.

Section 27. § Promulgation of Rules. - Each Commission en banc may promulgate its own rules concerning pleadings and practice before it or before any of its offices. Such rules however shall not diminish, increase, or modify substantive rights.

Section 28. § Decisions by the Constitutional Commissions. - Each Commission shall decide, by a majority vote of all its Members, any case or matter brought before it within sixty (60) days from the date of its submission for decision or resolution. A case or matter is deemed submitted for decision or resolution upon the filing of the last pleading, brief, or memorandum required by the rules of the Commission or by the Commission itself. Unless otherwise provided by the Constitution or by law, any decision, order, or ruling of each Commission may be brought to the Supreme Court on certiorari by the aggrieved party within thirty (30) days from receipt of a copy thereof.

CHAPTER 6 OTHER BODIES

Section 29. § Other Bodies. - There shall be in accordance with the Constitution, an Office of the Ombudsman, a Commission on Human Rights, an independent central monetary authority, and a national police commission. Likewise, as provided in the Constitution, Congress may establish an independent economic and planning agency. lawphi1.net

BOOK III

OFFICE OF THE PRESIDENT

Title I

POWERS OF THE PRESIDENT

CHAPTER 1 POWER OF CONTROL

Section 1. § Power of Control. - The President shall have control of all the executive departments, bureaus, and offices. He shall ensure that the laws be faithfully executed.

CHAPTER 2 ORDINANCE POWER

Section 2. 	 Executive Orders. - Acts of the President providing for rules of a general or permanent character in implementation or execution of constitutional or statutory powers shall be promulgated in executive orders.

Section 3. 	 Administrative Orders. - Acts of the President which relate to particular aspect of governmental operations in pursuance of his duties as administrative head shall be promulgated in administrative orders.

Section 4. 	 Proclamations. - Acts of the President fixing a date or declaring a status or condition of public moment or interest, upon the existence of which the operation of a specific law or regulation is made to depend, shall be promulgated in proclamations which shall have the force of an executive order.

Section 5. 	 Memorandum Orders. - Acts of the President on matters of administrative detail or of subordinate or temporary interest which only concern a particular officer or office of the Government shall be embodied in memorandum orders.

Section 6. 	 Memorandum Circulars. - Acts of the President on matters relating to internal administration, which the President desires to bring to the attention of all or some of the departments, agencies, bureaus or offices of the Government, for information or compliance, shall be embodied in memorandum circulars.

Section 7. 	 General or Special Orders. - Acts and commands of the President in his capacity as Commander-in-Chief of the Armed Forces of the Philippines shall be issued as general or special orders.

CHAPTER 3 POWER OVER ALIENS

Section 8. 	 Power to Deport. - The President shall have the power to deport aliens subject to the requirements of due process.

Section 9. 	 Power to Change Non-Immigrant Status of Aliens. - The President, subject to the provisions of law, shall have the power to change the status of non-immigrants by allowing them to acquire permanent residence status without necessity of visa.

Section 10. 	 Power to Countermand Decisions of the Board of Commissioners of the Bureau of Immigration. - The decision of the Board of Commissioners which has jurisdiction over all deportation cases shall become final and executory after thirty (30) days from promulgation, unless within such period the President shall order the contrary.

Section 11. 	 Power over Aliens under the General Principles of International Law. - The President shall exercise with respect to aliens in the Philippines such powers as are recognized by the generally accepted principles of international law.

CHAPTER 4 POWERS OF EMINENT DOMAIN, ESCHEAT, LAND RESERVATION AND RECOVERY OF ILL-GOTTEN WEALTH

Section 12. 	 Power of Eminent Domain. - The President shall determine when it is necessary or advantageous to exercise the power of eminent domain in behalf of the National Government, and direct the Solicitor General, whenever he deems the action advisable, to institute expropriation proceedings in the proper court.

Section 13. §; Power to Direct Escheat or Reversion Proceedings. - The President shall direct the Solicitor General to institute escheat or reversion proceedings over all lands transferred or assigned to persons disqualified under the Constitution to acquire land.

Section 14. §; Power to Reserve Lands of the Public and Private Domain of the Government. -

(1) The President shall have the power to reserve for settlement or public use, and for specific public purposes, any of the lands of the public domain, the use of which is not otherwise directed by law. The reserved land shall thereafter remain subject to the specific public purpose indicated until otherwise provided by law or proclamation;

(2)§;He shall also have the power to reserve from sale or other disposition and for specific public uses or purposes, any land belonging to the private domain of the Government, or any of the Friar Lands, the use of which is not otherwise directed by law, and thereafter such land shall be used for the purposes specified by such proclamation until otherwise provided by law.

Section 15. §; Power over Ill-gotten Wealth. - The President shall direct the Solicitor General to institute proceedings to recover properties unlawfully acquired by public officials or employees, from them or from their nominees or transferees.

Within the period fixed in, or any extension thereof authorized by, the Constitution, the President shall have the authority to recover ill-gotten properties amassed by the leaders and supporters of the previous regime and protect the interest of the people through orders of sequestration or freezing of assets or accounts.

CHAPTER 5 POWER OF APPOINTMENT

Section 16. §; Power of Appointment. - The President shall exercise the power to appoint such officials as provided for in the Constitution and laws.

Section 17. §;Power to Issue Temporary Designation. -

(1) The President may temporarily designate an officer already in the government service or any other competent person to perform the functions of an office in the executive branch, appointment to which is vested in him by law, when: (a) the officer regularly appointed to the office is unable to perform his duties by reason of illness, absence or any other cause; or (b) there exists a vacancy;

(2)§;The person designated shall receive the compensation attached to the position, unless he is already in the government service in which case he shall receive only such additional compensation as, with his existing salary, shall not exceed the salary authorized by law for the position filled. The compensation hereby authorized shall be paid out of the funds appropriated for the office or agency concerned.

(3)§;In no case shall a temporary designation exceed one (1) year.

CHAPTER 6 GENERAL SUPERVISION OVER LOCAL GOVERNMENTS

Section 18. § General Supervision Over Local Governments. - The President shall exercise general supervision over local governments.

CHAPTER 7 OTHER POWERS

Section 19. § Powers Under the Constitution. - The President shall exercise such other powers as are provided for in the Constitution.

Section 20. § Residual Powers. - Unless Congress provides otherwise, the President shall exercise such other powers and functions vested in the President which are provided for under the laws and which are not specifically enumerated above, or which are not delegated by the President in accordance with law.

Title II

ORGANIZATION

CHAPTER 8 ORGANIZATION OF THE OFFICE OF THE PRESIDENT

Section 21. § Organization. - The Office of the President shall consist of the Office of the President Proper and the agencies under it.

Section 22. § Office of the President Proper. -

(1) The Office of the President Proper shall consist of the Private Office, the Executive Office, the Common Staff Support System, and the Presidential Special Assistants/Advisers System;

(2)§ The Executive Office refers to the Offices of the Executive Secretary, Deputy Executive Secretaries and Assistant Executive Secretaries;

(3)§ The Common Staff Support System embraces the offices or units under the general categories of development and management, general government administration and internal administration; and

(4)§ The President Special Assistants/Advisers System includes such special assistants or advisers as may be needed by the President.

Section 23. § The Agencies under the Office of the President. - The agencies under the Office of the President refer to those offices placed under the chairmanship of the President, those under the supervision and control of the President, those under the administrative supervision of the Office of the President, those attached to it for policy and program coordination, and those that are not placed by law or order creating them under any specific department.

Title III

FUNCTIONS

CHAPTER 9 FUNCTIONS OF THE DIFFERENT OFFICES IN THE OFFICE OF THE PRESIDENT PROPER

A - PRIVATE OFFICE

Section 24. § Functions of the Private Office. - The Private Office shall provide direct services to the President and shall for this purpose attend to functions and matters that are personal or which pertain to the First Family.

B - THE EXECUTIVE OFFICE

Section 25. § Declaration of Policy. - The Executive Office shall be fully responsive to the specific needs and requirements of the President to achieve the purposes and objectives of the Office.

Section 26. § The Executive Secretary, the Deputy Executive Secretaries, and the Assistant Executive Secretaries. - The Executive Office shall be headed by the Executive Secretary who shall be assisted by one (1) or more Deputy Executive Secretaries and one (1) or more Assistant Executive Secretaries.

Section 27. § Functions of the Executive Secretary. - The Executive Secretary shall, subject to the control and supervision of the President, carry out the functions assigned by law to the Executive Office and shall perform such other duties as may be delegated to him. He shall:

- (1) § Directly assist the President in the management of the affairs pertaining to the Government of the Republic of the Philippines;
- (2) § Implement presidential directives, orders and decisions;
- (3) § Decide, for and in behalf of the President, matters not requiring personal presidential attention;
- (4) § Exercise supervision and control over the various units in the Office of the President Proper including their internal administrative requirements;
- (5) § Exercise supervision, in behalf of the President, over the various agencies under the Office of the President;
- (6) § Appoint officials and employees of the Office of the President whose appointments are not vested in the President;
- (7) § Provide overall coordination in the operation of the Executive Office;
- (8) § Determine and assign matters to the appropriate units in the Office of the President;
- (9) § Have administrative responsibility for matters in the Office of the President coming from the various departments and agencies of government;
- (10) § Exercise primary authority to sign papers "By authority of the President", attest executive orders and other presidential issuances unless attestation is specifically delegated to other officials by him or by the President;
- (11) § Determine, with the President's approval, the appropriate assignment of offices and agencies not placed by law under any specific executive department;
- (12) § Provide consultative, research, fact-finding and advisory service to the President;
- (13) § Assist the President in the performance of functions pertaining to legislation;
- (14) § Assist the President in the administration of special projects;
- (15) § Take charge of matters pertaining to protocol in State and ceremonial functions;
- (16) § Provide secretarial and clerical services for the President, the Cabinet, the Council of State, and other advisory bodies to the President

(17)	Promulgate such rules and regulations necessary to carry out the objectives, policies and functions of the Office of the President Proper;

Perform such other functions as the President may direct.

C - COMMON STAFF SUPPORT SYSTEM

Section 28. 	 Functions of the Common Staff Support System. - The various staff units in the Office of the President Proper shall form a common staff support system and shall be organized along the various tasks of the Office namely:

(1)	The Cabinet Secretariat which shall assist the President in the establishment of agenda topics for the Cabinet deliberation, or facilitate the discussion of cabinet meetings. It shall have such organization, powers and functions as are prescribed by law;

(2)	The Presidential Management Staff (PMS) which shall be the primary governmental agency directly responsible to the Office of the President for providing staff assistance in the Presidential exercise of overall management of the development process. It shall have such organization, powers and functions as are prescribed by law;

(3)	General Government Administration Staff which shall provide the President with staff support on matters concerning general government administration relative to the operations of the national government including the provision of legal services, administrative services, staff work on political and legislative matters, information and assistance to the general public, measures toward resolution of complaints against public officials and employees brought to the attention of the Office of the President and such other matters as the President may assign;

(4)	Internal Administrative Staff which shall render auxiliary and support services for the internal administration of the Office of the President.

D - PRESIDENTIAL ASSISTANT/ADVISERS SYSTEM

Section 29. 	 Functions of Presidential Assistants/Advisers Systems. - The Special Assistants/Advisers System shall provide advisory or consultative services to the President in such fields and under such conditions as the President may determine.

CHAPTER 10 FUNCTIONS OF THE AGENCIES UNDER THE OFFICE OF THE PRESIDENT

Section 30. 	 Functions of Agencies Under the Office of the President. - Agencies under the Office of the President shall continue to operate and function in accordance with their respective charters or laws creating them, except as otherwise provided in this Code or by law.

Section 31. 	 Continuing Authority of the President to Reorganize his Office. - The President, subject to the policy in the Executive Office and in order to achieve simplicity, economy and efficiency, shall have continuing authority to reorganize the administrative structure of the Office of the President. For this purpose, he may take any of the following actions:

(1)	Restructure the internal organization of the Office of the President Proper, including the immediate Offices, the Presidential Special Assistants/Advisers System and the Common staff Support System, by abolishing, consolidating or merging units thereof or transferring functions from one unit to another;

(2)	Transfer any function under the Office of the President to any other Department or Agency as well as transfer functions to the Office of the President from other Departments and Agencies; and

(3)	Transfer any agency under the Office of the President to any other department or agency as well as transfer agencies to the Office of the President from other departments or agencies.

BOOK IV

THE EXECUTIVE BRANCH

CHAPTER 1 THE DEPARTMENTS

Section 1. 	 Purpose and Number of Departments. - The Executive Branch shall have such Departments as are necessary for the functional distribution of the work of the President and for the performance of their functions.

Section 2. 	 Declaration of Policy. -

(1) The Departments shall be organized and maintained to insure their capacity to plan and implement programs in accordance with established national policies;

(2)	Bureaus and offices shall be grouped primarily on the basis of major functions to achieve simplicity, economy and efficiency in government operations and minimize duplication and overlapping of activities; and

(3)	The functions of the different Departments shall be decentralized in order to reduce red tape, free central officials from administrative details concerning field operations, and relieve them from unnecessary involvement in routine and local matters. Adequate authority shall be delegated to subordinate officials. Administrative decisions and actions shall, as much as feasible, be at the level closest to the public.

Section 3. 	 Department Proper. -

(1) Unless otherwise provided in this Code or by law, the Department proper shall include the Office of the Secretary and the staff consist of the Secretary and the Undersecretary or Undersecretaries, together with the personnel in their immediate offices;

(2)	Every Secretary shall be assisted by such number of Undersecretaries as may be provided for by this Code or by law;

The Undersecretary shall perform the functions as provided in Chapter 2 of this Book;

(3)	Whenever necessary, Assistant Secretary position or positions may be created to form part of the Department proper; and

(4)	In the absence of special provisions, the major staff units of each department shall be the services which shall include: the Planning Service, the Financial and Management Service, the Administrative Service, and when necessary, the Technical and Legal Services.

Section 4. 	 Jurisdiction over Bureaus, Offices, Regulatory Agencies and Government Corporations. - Each Department shall have jurisdiction over bureaus, offices, regulatory agencies, and government-owned or controlled corporations assigned to it by law, in accordance with the applicable relationship as defined in Chapter 7, 8, and 9 of this Book.

Section 5. 	 Assignment of Offices and Agencies. - The President shall, by executive order, assign offices and agencies not otherwise assigned by law to any department, or indicate to which department a government corporation or board may be attached.

CHAPTER 2 SECRETARIES, UNDERSECRETARIES, AND ASSISTANT SECRETARIES

Section 6. 	 Authority and Responsibility of the Secretary. - The authority and responsibility for the exercise of the mandate of the Department and for the discharge of its powers and functions shall be vested in the Secretary, who shall have supervision and control of the Department.

Section 7. 	 Powers and Functions of the Secretary. - The Secretary shall:

(1)	Advise the President in issuing executive orders, regulations, proclamations and other issuances, the promulgation of which is expressly vested by law in the President relative to matters under the jurisdiction of the Department;

(2)	Establish the policies and standards for the operation of the Department pursuant to the approved programs of governments;

(3)	Promulgate rules and regulations necessary to carry out department objectives, policies, functions, plans, programs and projects;

(4)	Promulgate administrative issuances necessary for the efficient administration of the offices under the Secretary and for proper execution of the laws relative thereto. These issuances shall not prescribe penalties for their violation, except when expressly authorized by law;

(5)	Exercise disciplinary powers over officers and employees under the Secretary in accordance with law, including their investigation and the designation of a committee or officer to conduct such investigation;

(6)	Appoint all officers and employees of the Department except those whose appointments are vested in the President or in some other appointing authority; Provided, however, that where the Department is regionalized on a department-wide basis, the Secretary shall appoint employees to positions in the second level in the regional offices as defined in this Code;

(7)	Exercise jurisdiction over all bureaus, offices, agencies and corporations under the Department as are provided by law, and in accordance with the applicable relationships as specified in Chapters 7, 8, and 9 of this Book;

(8)	Delegate authority to officers and employees under the Secretary's direction in accordance with this Code; and

(9)	Perform such other functions as may be provided by law.

Section 8. 	 Submission of Performance Evaluation Reports. - The Secretary shall formulate and enforce a system of measuring and evaluating periodically and objectively the performance of the Department and submit the same annually to the President.

Section 9. 	 Submission of Budget Estimates. - The Secretary shall prepare and submit to the President through the Department of Budget and Management an estimate of the necessary expenditures of the department during the next fiscal year, on the basis of the reports and estimates submitted by bureaus and officers under him.

Section 10. § Powers and Duties of the Undersecretary. - The Undersecretary shall:

(1) § Advise and assist the Secretary in the formulation and implementation of department objectives and policies;

(2) § Oversee all the operational activities of the department for which he shall be responsible to the Secretary;

(3) § Coordinate the programs and projects of the department and be responsible for its economical, efficient and effective administration;

(4) § Serve as deputy to the Secretary in all matters relating to the operations of the department;

(5) § Temporarily discharge the duties of the Secretary in the latter's absence or inability to discharge his duties for any cause or in case of vacancy of the said office, unless otherwise provided by law. Where there are more than one Undersecretary, the Secretary shall allocate the foregoing powers and duties among them. The President shall likewise make the temporary designation of Acting Secretary from among them; and

(6) § Perform such other functions and duties as may be provided by law.

Section 11. § Duties and Functions of the Assistant Secretary. - The Assistant Secretary shall perform such duties and functions as may be provided by law or assigned to him by the Secretary.

CHAPTER 3 DEPARTMENT SERVICES

Section 12. § Department Services. - Except as otherwise provided by law, each Department shall have Department Services which shall include the Planning Service, the Financial and Management Service, the Administrative Service, and whenever necessary the Technical and Legal Services.

Section 13. § Planning Service. - The Planning Service shall provide the department with economical, efficient and effective services relating to planning, programming, and project development, and discharge such other functions as may be provided by law. Where the work of the department does not call for substantial planning and programming, the Planning Service shall be constituted as a single unit without subdivisions. Where substantial primary data-gathering is essential to the operations of the department, a statistical unit may be constituted as part of a technical service.

Section 14. § Financial and Management Services. - The Financial and Management Services shall advise and assist the Secretary on financial and management matters and shall perform such other functions as may be provided by law.

Section 15. § Administrative Service. - The Administrative Service shall provide the Department with economical, efficient and effective services relating to personnel, legal assistance, information, records, delivery and receipt of correspondence, supplies, equipment, collections, disbursement, security and custodial work. It shall also perform such other functions as may be provided by law.

Section 16. § Technical Service. - Whenever necessary, one or more technical services shall be established to take charge of technical staff activities essential to a department and which cannot be allocated to the three other services or to the bureaus.

Section 17. § Legal Service. - A Legal Service shall be provided where the operations of the department involve substantial legal work, in which case the Administrative Service shall not have a Legal Division. The Legal Service shall provide legal advice to the department; interpret laws and rules affecting the operation of the department; prepare contracts and instruments to which the department is a party, and interpret provisions of contracts covering work performed for the department by private entities; assist in the promulgation of rules governing the activities of the department; prepare comments on proposed legislation concerning the department; answer legal queries from the public; assist the Solicitor General in suits involving the Department or its officers, or employees or act as their principal counsel in all actions taken in their official capacity before judicial or administrative bodies; and perform such other functions as may be provided by law.

Where the workload of the department does not warrant a Legal Service or a Legal Division, there shall be one or more legal assistants in the Office of the Secretary.

CHAPTER 4 BUREAUS

Section 18. § Bureaus in General. -

(1) § A Bureau is any principal subdivision of the department performing a single major function or closely related functions. Bureaus are either staff or line.

(2) § Each bureau shall be headed by a Director who may have one or more Assistant Directors as provided by law; and

(3) § Each bureau may have as many divisions as are provided by law for the economical, efficient and effective performance of its functions.

Section 19. § Staff Bureau. -

(1) § A staff bureau shall primarily perform policy, program development and advisory functions.

(2) § The Director of a staff bureau shall:

(a) § Advise and assist the Office of the Secretary on matters pertaining to the Bureau's area of specialization;

(b) § Provide consultative and advisory services to the regional offices of the department;

(c) § Develop plans, programs, operating standards, and administrative techniques for the attainment of the objectives and functions of the bureau; and

(d) § Perform such other duties as may be provided by law.

(3) § The staff bureau shall avail itself of the planning, financial and administrative services in the department proper. The bureau may have a separate administrative division, if circumstances so warrant.

Section 20. § Line Bureau. -

(1) A line bureau shall directly implement programs adopted pursuant to department policies and plans.

(2)	The Director of a line bureau shall:

(a)	Exercise supervision and control over all division and other units, including regional offices, under the bureau;

(b)	Establish policies and standards for the operations of the bureau pursuant to the plans and programs of the department;

(c)	Promulgate rules and regulations necessary to carry out bureau objectives, policies and functions; and

(d)	Perform such other duties as may be provided by law.

The line bureau may have staff units, as may be necessary, corresponding to the services of the department proper. If the bureau is small, only a single unit performing combined staff functions may be provided.

CHAPTER 5 FIELD OFFICES

Section 21. 	 Regional Offices. - Regional Offices shall be established according to law defining field service areas. The administrative regions shall be composed of a National Capital Region and Regions I to XII. Provincial and district offices may be established only by law whenever necessary.

Section 22. 	 Integration of Field Service. - Except as otherwise provided by law and when the needs of the service so require, the department or agency shall organize an integrated regional office on a department or agency-wide basis.

Section 23. 	 Administration of Regional Office. - The regional office shall be headed by a Regional Director who may be assisted by one (1) Assistant Regional Director, except as may otherwise be provided by law. The Regional Director shall be responsible for department or agency functions performed in the region under his jurisdiction.

Section 24. 	 Supervision of Regional Offices. -

(1)	Whenever the function or activity of a department or agency requires central or interregional action, the function may be performed by the regional offices under the supervision and control of the department proper or line bureau concerned.

(2)	The staff bureau or division shall perform primarily advisory or auxiliary functions and exercise in behalf of the department or agency functional supervision over the regional offices. This shall include authority to develop and set down standards, policies and procedures to be implemented by operating units, and to evaluate continuously such implementation for the purpose of recommending or when authorized, taking corrective measures.

Section 25. 	 Organization of Regional Offices. - Regional offices organized on a department wide basis shall have units or personnel in which the functional areas of the staff bureaus and services in the department shall be represented. Regional offices of a line bureau may have units or personnel in which the functional areas of the primary units of the bureau are represented. Related functions of regional units shall be consolidated.

Section 26. 	 Functions of a Regional Office. -

(1)	A regional office shall:

(a)	Implement laws, policies, plans, programs, rules and regulations of the department or agency in the regional area;

(b)	Provide economical, efficient and effective service to the people in the area;

(c)	Coordinate with regional offices of other departments, bureaus and agencies in the area;

(d)	Coordinate with local government units in the area; and

(e)	Perform such other functions as may be provided by law.

(2)	District offices may be established only in cases of clear necessity.

Section 27. 	 Duties of a Regional Director. - The Regional Director shall:

(1)	Implement laws, policies, rules and regulations within the responsibility of the agency;

(2)	Implement agency programs in the region;

(3)	Exercise the management functions of planning organizing, directing and controlling

(4)	Appoint personnel to positions in the first level and casual and seasonal employees; and exercise disciplinary actions over them in accordance with the Civil Service Law;

(5)	Approve sick, vacation and maternity leaves of absence with or without pay, for a period not beyond one year;

(6)	Prepare and submit budget proposals for the region to the central office, administer the budget of the regional office, authorize disbursement of funds pursuant to approved financial and work programs, and administer the budget control machinery in the region;

(7)	Approve requisition for supplies, materials and equipment, as well as books and periodicals, and other items for the region, in accordance with the approved supply procurement program;

(8)	Negotiate and enter into contracts for services or furnishing supplies, materials and equipment to the regional office involving an amount not exceeding fifty thousand pesos (P50,000.00) within a given quarter, provided that authority in excess of fifty thousand pesos (P50,000.00) may be further authorized by the proper department or agency head;

(9)	Approve claims for benefits under existing laws;

(10)	Approve requests for overtime services;

(11)	Promote coordination among the regional offices, and between his regional office and local government units in the region;

(12)	Provide housekeeping services for the regional office;

(13)	Approve application of personnel for permission to teach, exercise a profession, or engage in business outside of office hours in accordance with standards and guidelines of the Civil Service Commission;

(14)	Issue travel vouchers authorizing employees to travel on official business within the region for a period not exceeding thirty days;

(15)	Approve attendance of personnel in conferences, seminars, and non-degree training programs within the region;

(16)	Authorize the allocation of funds to provincial/district offices; and

(17)	Perform such other duties and functions as may be provided by law or further delegated by the head of agency or other proper authorities concerned.

Section 28. 	Review of Acts of Regional Director. - Nothing in the preceding Section shall be construed as a limitation on the power of the Secretary to review and modify, alter or reverse any action of the Regional Director, or to initiate promotions and transfers of personnel from one region to another.

CHAPTER 6 POWERS AND DUTIES OF HEADS OF BUREAUS OR OFFICES

Section 29. 	 Powers and Duties in General. - The head of bureau or office shall be its chief executive officer. He shall exercise overall authority in matters within the jurisdiction of the bureau, office or agency, including those relating to its operations, and enforce all laws and regulations pertaining to it.

Section 30. 	 Authority to Appoint and Discipline. - The head of bureau or office shall appoint personnel to all positions in his bureau or office, in accordance with law. In the case of the line bureau or office, the head shall also appoint the second level personnel of the regional offices, unless such power has been delegated. He shall have the authority to discipline employees in accordance with the Civil Service Law.

Section 31. 	 Duties of Assistant Heads and Subordinates. -

(1)	Assistant heads and other subordinates in every bureau or office shall perform such duties as may be required by law or regulations, or as may be specified by their superiors not otherwise inconsistent with law;

(2)	The head of bureau or office may, in the interest of economy, designate the assistant head to act as chief of any division or unit within the organization, in addition to his duties, without additional compensation; and

(3)	In the absence of special restriction prescribed by law, nothing shall prevent a subordinate officer or employee from being assigned additional duties by proper authority, when not inconsistent with the performance of the duties imposed by law.

Section 32. 	 Acting Head of Bureau or Office. - In case of the absence or disability of the head of a bureau or office, his duties shall be performed by the assistant head. When there are two or more assistant heads, the Secretary shall make the designation. In the absence of an assistant head, the Secretary may designate any officer or employee of the bureau or office as acting head without additional compensation.

Section 33. §; Performance of Duties of Subordinate Officers Temporarily Absent. - In case of the temporary absence or disability of any subordinate officer or employee in any bureau or office, its head may, subject to existing laws, rules and regulations, designate any other subordinate officer or employee within the organization to perform temporarily the duties of the absent or disabled person.

Section 34. §; Filling of Vacancies. - Vacancies caused by death, resignation or removal of any officer or subordinate may be temporarily filled in the same manner as in the case of temporary absence or disability. The vacancies shall not be filled by permanent appointment, until the expiration of any leave allowable to the predecessor, unless the exigencies of the service require that the appointment be made immediately.

Section 35. §; Power to Require Bonds. -

(1)§;The head of each bureau or office shall, consistent with law, rules and regulations, prescribe the form and fix the amount of all bonds executed by private parties to the government under the laws pertaining to his bureau or office. He shall pass on the sufficiency of the security and retain possession of the bond.

(2)§;When it appears that any such bond is insufficient, the head may require additional security. He may withdraw the privilege secured by the bond upon failure of the party to give additional security within the period fixed in the notice, but such an action shall be without prejudice to the liability of any person or property already obligated.

Section 36. §; Authority to Prescribe Forms and Issue Regulations. -

(1)§;The head of a bureau or office shall prescribe forms and issue circulars or orders to secure the harmonious and efficient administration of his bureau or office and to carry into full effect the laws relating to matters within his jurisdiction. Penalties shall not be prescribed in any circular or order for its violation, except as expressly allowed by law;

(2)§;Heads of bureaus or offices are authorized to issue orders regarding the administration of their internal affairs for the guidance of or compliance by their officers and employees;

(3)§;Regional directors are authorized to issue circulars of purely information or implementing nature and orders relating to the administration of the internal affairs of regional offices and units within their supervision; and

(4)§;Issuances under paragraphs (2) and (3) hereof shall not require, for their effectivity, approval by the Secretary or other authority.

Section 37. §; Annual Reports. -

(1)§;All heads of bureaus or offices of the national government shall render annual reports to their respective Secretaries on or before the last day of February of each year.

(2)§;The reports shall contain concise statements of accomplishments and assessment of the progress attained in terms of approved programs and projects, including pertinent financial statements on expenditures incurred in their implementation during the calendar year. Broad recommendations and plans for undertaking work during the ensuing period shall be included together with matters specifically required by law or regulation to be incorporated therein.

CHAPTER 7 ADMINISTRATIVE RELATIONSHIP

Section 38. § Definition of Administrative Relationship. - Unless otherwise expressly stated in the Code or in other laws defining the special relationships of particular agencies, administrative relationships shall be categorized and defined as follows:

(1)§ Supervision and Control. - Supervision and control shall include authority to act directly whenever a specific function is entrusted by law or regulation to a subordinate; direct the performance of duty; restrain the commission of acts; review, approve, reverse or modify acts and decisions of subordinate officials or units; determine priorities in the execution of plans and programs; and prescribe standards, guidelines, plans and programs. Unless a different meaning is explicitly provided in the specific law governing the relationship of particular agencies, the word "control" shall encompass supervision and control as defined in this paragraph.

(2)§ Administrative Supervision. - (a) Administrative supervision which shall govern the administrative relationship between a department or its equivalent and regulatory agencies or other agencies as may be provided by law, shall be limited to the authority of the department or its equivalent to generally oversee the operations of such agencies and to insure that they are managed effectively, efficiently and economically but without interference with day-to-day activities; or require the submission of reports and cause the conduct of management audit, performance evaluation and inspection to determine compliance with policies, standards and guidelines of the department; to take such action as may be necessary for the proper performance of official functions, including rectification of violations, abuses and other forms of maladministration; and to review and pass upon budget proposals of such agencies but may not increase or add to them;

(b)§ Such authority shall not, however, extend to: (1) appointments and other personnel actions in accordance with the decentralization of personnel functions under the Code, except appeal is made from an action of the appointing authority, in which case the appeal shall be initially sent to the department or its equivalent, subject to appeal in accordance with law; (2) contracts entered into by the agency in the pursuit of its objectives, the review of which and other procedures related thereto shall be governed by appropriate laws, rules and regulations; and (3) the power to review, reverse, revise, or modify the decisions of regulatory agencies in the exercise of their regulatory or quasi-judicial functions; and

(c)§ Unless a different meaning is explicitly provided in the specific law governing the relationship of particular agencies, the word "supervision" shall encompass administrative supervision as defined in this paragraph.

(3)§ Attachment. - (a) This refers to the lateral relationship between the department or its equivalent and the attached agency or corporation for purposes of policy and program coordination. The coordination may be accomplished by having the department represented in the governing board of the attached agency or corporation, either as chairman or as a member, with or without voting rights, if this is permitted by the charter; having the attached corporation or agency comply with a system of periodic reporting which shall reflect the progress of programs and projects; and having the department or its equivalent provide general policies through its representative in the board, which shall serve as the framework for the internal policies of the attached corporation or agency;

(b)	Matters of day-to-day administration or all those pertaining to internal operations shall be left to the discretion or judgment of the executive officer of the agency or corporation. In the event that the Secretary and the head of the board or the attached agency or corporation strongly disagree on the interpretation and application of policies, and the Secretary is unable to resolve the disagreement, he shall bring the matter to the President for resolution and direction;

(c)	Government-owned or controlled corporations attached to a department shall submit to the Secretary concerned their audited financial statements within sixty (60) days after the close of the fiscal year; and

(d)	Pending submission of the required financial statements, the corporation shall continue to operate on the basis of the preceding year's budget until the financial statements shall have been submitted. Should any government-owned or controlled corporation incur an operation deficit at the close of its fiscal year, it shall be subject to administrative supervision of the department; and the corporation's operating and capital budget shall be subject to the department's examination, review, modification and approval.

CHAPTER 8 SUPERVISION AND CONTROL

### Section 39. 	 Secretary's Authority. -

(1)	The Secretary shall have supervision and control over the bureaus, offices, and agencies under him, subject to the following guidelines:

(a)	Initiative and freedom of action on the part of subordinate units shall be encouraged and promoted, rather than curtailed, and reasonable opportunity to act shall be afforded those units before control is exercised;

(b)	With respect to functions involving discretion, experienced judgment or expertise vested by law upon a subordinate agency, control shall be exercised in accordance with said law; and

(c)	With respect to any regulatory function of an agency subject to department control, the authority of the department shall be governed by the provisions of Chapter 9 of this book.

(2)	This Chapter shall not apply to chartered institutions or government-owned or controlled corporations attached to the department.

Section 40. 	 Delegation of Authority. - The Secretary or the head of an agency shall have authority over and responsibility for its operation. He shall delegate such authority to the bureau and regional directors as may be necessary for them to implement plans and programs adequately. Delegated authority shall be to the extent necessary for economical, efficient and effective implementation of national and local programs in accordance with policies and standards developed by each department or agency with the participation of the regional directors. The delegation shall be in writing; shall indicate to which officer or class of officers or employees the delegation is made; and shall vest sufficient authority to enable the delegate to discharge his assigned responsibility.

### Section 41. 	 Line Bureau Authority. -

(1)	Line bureaus of a department shall exercise supervision and control over their regional and other field offices. They shall be directly responsible for the development and implementation of plans and programs within their respective functional specializations; and

(2)	The regional and other field offices shall constitute the operating arms of the bureau concerned for the direct implementation of the plans and programs drawn up in accordance with approved policies and standards. As counterparts of the bureau in the region, they shall undertake bureau operations within their respective jurisdictions, and be directly responsible to their bureau director.

CHAPTER 9 RELATIONSHIPS OF GOVERNMENT-OWNED OR CONTROLLED CORPORATIONS AND REGULATORY AGENCIES TO THE DEPARTMENT

Section 42. 	 Government-Owned or Controlled Corporations. - Government-owned or controlled corporations shall be attached to the appropriate department with which they have allied functions, as hereinafter provided, or as may be provided by executive order, for policy and program coordination and for general supervision provided in pertinent provisions of this Code.

In order to fully protect the interests of the government in government-owned or controlled corporations, at least one-third (1/3) of the members of the Boards of such corporations should either be a Secretary, or Undersecretary, or Assistant Secretary.

Section 43. 	 Regulatory Agencies. -

(1)	A regulatory agency shall be subject to the administrative supervision of the department under which they are placed, except when they are government corporations in which case they shall be governed by the provisions of the preceding section;

(2)	The heads of regulatory agencies shall submit annually, for the approval of the Secretary concerned, their budgets and work plans which shall be the basis of their day-to-day operations; and

(3)	The regulatory agencies may avail themselves of the common auxiliary and management services of the department as may be convenient and economical for their operations.

CHAPTER 10 APPOINTMENTS AND QUALIFICATIONS

Section 44. 	 Appointment of Secretaries. - The Secretaries of Departments shall be appointed by the President with the consent of the Commission on Appointments, at the beginning of his term of office, and shall hold office, unless sooner removed, until the expiration of his term of office, or until their successors shall have been appointed and qualified.

Section 45. 	 Qualifications of Secretaries. - The Secretaries shall be citizens of the Philippines and not less than twenty-five years of age.

Section 46. 	 Appointments of Undersecretaries and Assistant Secretaries. - The Undersecretaries and Assistant Secretaries of Departments shall, upon the nomination of the Secretary of the Department concerned, be appointed by the President.

Section 47. 	 Appointment to other Senior Positions and their Equivalents. - Directors and Assistant Directors of Bureaus, Regional and Assistant Regional Directors, Department Service Chiefs, and their Equivalents shall be appointed by the President in accordance with law, rules and regulations.

Section 48. 	 Disqualification of the spouse and relatives of the President. - The spouse and relatives by consanguinity or affinity within the fourth civil degree of the President shall not during his tenure be appointed as Secretaries, Undersecretaries, Chairmen or heads of bureaus or offices including government-owned or controlled corporations and their subsidiaries.

Section 49. § Inhibitions Against Holding More than Two Positions. - Even, if allowed by law or by the primary functions of his position, a member of the Cabinet, undersecretary, assistant secretary or other appointive official of the Executive Department may, in addition to his primary position, hold not more than two positions in the government and government-owned corporations and receive the corresponding compensation therefor: Provided, that this limitation shall not apply to ad hoc bodies or committees, or to boards, councils or bodies of which the President is the Chairman.

If a Secretary, Undersecretary, Assistant Secretary or other appointive official of the Executive Department holds more positions than what is allowed in the preceding paragraph, he must relinquish the excess positions in favor of a subordinate official who is next in rank, but in no case shall any official hold more than two positions other than his primary position.

CHAPTER 11 ADMINISTRATIVE ISSUANCES

Section 50. § General Classification of Issuances. - The administrative issuances of Secretaries and heads of bureaus, offices or agencies shall be in the form of circulars or orders.

(1)§Circulars shall refer to issuances prescribing policies, rules and regulations, and procedures promulgated pursuant to law, applicable to individuals and organizations outside the Government and designed to supplement provisions of the law or to provide means for carrying them out, including information relating thereto; and

(2)§Orders shall refer to issuances directed to particular offices, officials, or employees, concerning specific matters including assignments, detail and transfer of personnel, for observance or compliance by all concerned.

Section 51. § Numbering System of Issuances. - Every circular or order issued pursuant to the preceding section shall properly be identified as such and chronologically numbered. Each class of issuance shall begin with number 1 of each calendar year .

Section 52. § Official Logbook. - Each department, bureau, office or agency shall keep and preserve a logbook in which shall be recorded in chronological order, all final official acts, decisions, transactions or contracts, pertaining to the department, bureau, office or agency. Whenever the performance of an official act is in issue, the date and the time record in the logbook shall be controlling. The logbook shall be in the custody of the chief Administrative Officer concerned and shall be open to the public for inspection.

Section 53. § Government-wide Application of the Classification of Issuances. -

(1)§The Records Management and Archives Office in the General Services Administration shall provide such assistance as may be necessary to effect general adherence to the foregoing classification of issuances, including the conduct of studies for developing sub-classifications and guidelines to meet peculiar needs; and

(2)§All administrative issuances of a general or permanent character shall be compiled, indexed and published pursuant to the provisions of this Code.

CHAPTER 12 MISCELLANEOUS RECEIPTS

Section 54. §; Charges for Property Sold or Services Rendered; Refunds. -

(1)§;For services required by law to be rendered for a fee, for supplies furnished, or articles of any kind sold to other divisions of the government or to any person, the head of bureau, office or agency may, upon approval of the Secretary charge and collect the cost of the service, supplies, or articles or other rate in excess of cost prescribed by law or approved by the same authority. For local governments, the rate, except where otherwise prescribed by law, shall be affixed at cost or at such other reasonable rate in excess of cost by the boards or councils concerned;

(2)§;The officer authorized to fix the amount to be paid for service rendered and supplies or articles furnished or sold may recommend that the whole or part of any sum so paid be refunded, upon approval of the Commission on Audit.

Section 55. §; Disposition of Miscellaneous Bureau Receipts. - In the absence of special provision, money collected for property sold or service rendered, and all other receipts or earnings of bureaus, offices, and agencies not derived from taxation, shall accrue to the general unappropriated funds of the National Government.

Section 56. §; Printing of Studies and Researches. - With the approval of the Secretary, a bureau, office, or agency may print its studies, researches and similar materials for distribution at cost to the public. The Secretary may authorize the printing or reprinting of the said materials by private persons for sale to the public upon payment of such royalties as may be fixed by him, which shall accrue to the general fund.

CHAPTER 13 CONTRACTS

Section 57. §; Conveyances and Contracts to which the Government is a Party. - Any deed, instrument or contract conveying the title to real estate or to any other property the value of which does not exceed fifty million pesos (P50,000,000) awarded through public bidding, and five million pesos (P5,000,000) awarded through negotiation, shall be executed and signed by the respective Secretary on behalf of the Government of the Philippines. Where the value of the property exceeds the aforesaid ceilings, such deed, instrument or contract shall be executed and signed by the President of the Philippines on behalf of the Government.

Section 58. §; Ceiling for Infrastructure Contracts. - The following shall be the ceilings for all civil works, construction and other contracts for infrastructure projects, including supply contracts for said projects, awarded through public bidding or through negotiation, which may be approved by the Secretaries of Public Works and Highways, Transportation and Communications, Local Government with respect to Rural Road Improvement Project, and governing boards of government-owned or controlled corporations:

Awarded through Public Bidding

Awarded through Negotiation

a.

Secretary of Public Works and Highways

P100 Mil.

P10 Mil.

b.

Secretary of Transportation and Communications

100 Mil.

10 Mil.

c.

Secretary of Local Government with respect to the Rural Road Improvement Project

100 Mil.

2 Mil.

d.

Government Boards of Infra- structure Corporations (National Power Corporation, National Irrigation Administration, Metropolitan Waterworks and Sewerage System, National Housing Authority, Philippine Port Authority, National Electrification Administration, Export Processing Zone Authority, Philippine National Railways, Local Water Utilities Administration, Light Rail Transit Authority and Philippine National Oil Company)

50 Mil.

5 Mil.

e.

Governing Boards of Non-Infrastructure Corporations

7.5 Mil.

1 Mil.

Save as provided for above, the approval ceilings assigned to the departments/agencies involved in national infrastructure and construction projects shall remain at the levels provided in existing laws, rules and regulations.

Section 59. § Contracts for Approval by the President. - Contracts for infrastructure projects, including contracts for the supply of materials and equipment to be used in said projects, which involve amounts above the ceilings provided in the preceding section shall be approved by the President: Provided, That the President may, when conditions so warrant, and upon recommendation of the National Economic and Development Authority, revise the aforesaid ceilings of approving authority.

Section 60. 	 Approval of Consultancy Contracts. - All purely consultancy contracts relating to infrastructure projects, regardless of amount, shall be approved by the Secretaries concerned, in accordance with the Guidelines on the Hiring of Consultants to be promulgated by the National Economic and Development Authority: Provided, That the National Economic and Development Authority shall be furnished by the departments, agencies or government corporations concerned, copies of all consultancy contracts entered into by them involving an amount in excess of P1 million for monitoring purposes.

Section 61. 	 Delegation of Authority to Governing Boards of Government Corporations. - The Secretaries are authorized to delegate to the governing boards of government-owned or controlled corporations which are attached to or are under the administrative supervision of their respective departments, the authority to approve contracts for infrastructure projects entered into by said corporations involving amounts which are beyond the ceiling provided for government corporations under Section 57 hereof but which are within the approving authority of the Secretaries under the said Section. In the case of government corporations which are attached to or under the Office of the President, the delegation shall be made by the Executive Secretary.

Section 62. 	 Public Bidding of Contracts; Exceptions. - As a general rule, contracts for infrastructure projects shall be awarded after open public bidding to bidders who submit the lowest responsive/evaluated bids. Open Public Bidding shall be conducted among prequalified contractors in accordance with laws, rules and regulations not inconsistent with the provisions of this Chapter. The award of such contracts through negotiations shall only be allowed by the Secretary or Governing Board of the Corporation concerned within the limits as stated in Section 57 hereof in the following cases:

a.	In times of emergencies arising from natural calamities where immediate action is necessary to prevent imminent loss of life or property, in which case, direct negotiation or simplified bidding may be undertaken;

b.	Failure to award the contract after competitive public bidding for valid cause or causes, in which case, simplified bidding may be undertaken; and

c.	Where the construction project covered by the contract is adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor, in which case, direct negotiation may be undertaken with the said contractor at the same unit prices and contract conditions, less mobilization costs, provided that he has no negative slippage and has demonstrated a satisfactory performance. Otherwise, the contract shall be awarded through public bidding.

Section 63. 	 Contracts for Community Employment and Development Program Projects. - Contracts covering projects under the Community Employment and Development Program of the government shall be awarded through open public bidding: Provided, That the invitation to bid for the said projects shall be advertised at least once within one week in a newspaper of local circulation within the province where the project is situated, through posting of notices in the premises of the municipal/provincial office, and through other forms of media, such as radio and television: Provided, further, That the deadline for submission of bids for projects costing not more than P1 million each may be shortened to one week after the date of such invitation, posting of notices or advertisement through other forms of media.

Section 64. § Constitution of the Prequalification, Bids, and Awards Committee. - Each department, office or agency shall have in its head office or in its implementing offices a Prequalification, Bids and Awards Committee which shall be responsible for the conduct of prequalification of contractors, biddings, evaluation of bids and recommending awards of contracts. Each Prequalification, Bids and Awards Committee shall be composed of the following:

a. § A Chairman (regular) who should at least be a third ranking official of the department/agency/implementing Office;

b. § An Executive Officer and Secretary (regular) who is a Legal Officer of the department/office/implementing office;

c. § A Technical Member (regular) to be designated by the Secretary or the head of the office/agency/implementing office;

d. § Two members (provisional) with experience in the type of project to be bidden and in project management, duly designated by the Secretary or the head of the office/implementing office on a project-to-project basis; and

e. § A representative from at least one of the following organizations who shall be a non-voting member:

1. § Philippine Institute of Civil Engineers

2. § Philippine Contractors Association

3. § National Confederation of Contractors Associations of the Philippines, Inc.

4. § Philippine Institute of Certified Public Accountants

The representation in the Prequalification, Bids and Awards Committee of the above-mentioned private organizations shall be made as follows:

1. § During the prequalification stage, the representative to be invited shall come from the Philippine Institute of Certified Public Accountants; and

2. § In the bidding, bid evaluation and award stages, a representative each from the Philippine Institute of Certified Public Accountants and from the Philippine Contractors Association or the National Confederation of Contractors Associations of the Philippines, Inc. shall be invited as non-voting members of the Prequalification, Bids and Awards Committee without prejudice to inviting another representative/s from any of the other organizations mentioned above.

Section 65. § Approval of other types of Government Contracts. - All other types of government contracts which are not within the coverage of this Chapter shall, in the absence of a special provision, be executed with the approval of the Secretary or by the head of the bureau or office having control of the appropriation against which the contract would create a charge. Such contracts shall be processed and approved in accordance with existing laws, rules and regulations.

CHAPTER 14 CONTROVERSIES AMONG GOVERNMENT OFFICES AND CORPORATIONS

Section 66. § How Settled. - All disputes, claims and controversies, solely between or among the departments, bureaus, offices, agencies and instrumentalities of the National Government, including government-owned or controlled corporations, such as those arising from the interpretation and application of statutes, contracts or agreements, shall be administratively settled or adjudicated in the manner provided in this Chapter. This Chapter shall, however, not apply to disputes involving the Congress, the Supreme Court, the Constitutional Commissions, and local governments.

Section 67. §; Disputes Involving Questions of Law. - All cases involving only questions of law shall be submitted to and settled or adjudicated by the Secretary of Justice as Attorney-General of the National Government and as ex officio legal adviser of all government-owned or controlled corporations. His ruling or decision thereon shall be conclusive and binding on all the parties concerned.

Section 68. §; Disputes Involving Questions of Fact and Law. - Cases involving mixed questions of law and of fact or only factual issues shall be submitted to and settled or adjudicated by:

(1)§;The Solicitor General, if the dispute, claim or controversy involves only departments, bureaus, offices and other agencies of the National Government as well as government-owned or controlled corporations or entities of whom he is the principal law officer or general counsel; and

(2)§;The Secretary of Justice, in all other cases not falling under paragraph (1).

Section 69. §; Arbitration. - The determination of factual issues may be referred to an arbitration panel composed of one representative each of the parties involved and presided over by a representative of the Secretary of Justice or the Solicitor General, as the case may be.

Section 70. §; Appeals. - The decision of the Secretary of Justice as well as that of the Solicitor General, when approved by the Secretary of Justice, shall be final and binding upon the parties involved. Appeals may, however, be taken to the President where the amount of the claim or the value of the property exceeds one million pesos. The decision of the President shall be final.

Section 71. §; Rules and Regulations. - The Secretary of Justice shall promulgate the rules and regulations necessary to carry out the provisions of this Chapter.

Title I

FOREIGN AFFAIRS

CHAPTER 1 GENERAL PROVISIONS

Section 1. §; Declaration of Policy. - The State shall pursue an independent foreign policy. In its relations with other states the paramount consideration shall be national sovereignty, territorial integrity, national interest, and the right to self-determination.

Section 2. §; Mandate. - The Department shall be the lead agency that shall advise and assist the President in planning, organizing, directing, coordinating and evaluating the total national effort in the field of foreign relations.

Section 3. §; Powers and Functions. - To carry out its mandate and accomplish its mission, the Department shall:

(1)§;Conduct the country's foreign relations;

(2)§;Maintain and develop the country's representation with foreign governments;

- (3)	Conduct Philippine representation in the United Nations, the Association of Southeast Asian Nations (ASEAN), and other international and regional organizations;
- (4)	Serve as the channel for matters involving foreign relations, including official communications to and from the Republic of the Philippines;
- (5)	Negotiate treaties and other agreements pursuant to instructions of the President, and in coordination with other government agencies;
- (6)	Promote trade, investments, tourism and other economic relations with other countries in cooperation with other government agencies;
- (7)	Foster cultural relations with other countries and protect and enhance the Philippines' image abroad;
- (8)	Undertake efforts to inform the international community about the Philippines in cooperation with other government agencies;
- (9)	Protect and assist Philippine nationals abroad;
- (10)	Carry out legal documentation functions as provided for by law and regulations;
- (11)	Monitor and analyze events in other countries and report them, as appropriate, to the President and other government agencies;
- (12)	Initiate, formulate, integrate and submit to the President short, medium, and long-range foreign policy plans and programs in cooperation with other government agencies;
- (13)	Supervise and direct officials and employees assigned by the Department and other government agencies to Foreign Service establishments abroad in accordance with the pertinent laws, rules and inter-agency agreements;
- (14)	Recruit, maintain and develop a professional career foreign service based on merit; and
- (15)	Perform such other functions as may be provided by law.

Section 4. 	Organizational Structure. - The Department shall have the following units:

- (1)	The Department Proper which shall be composed of the Office of the Secretary, the Offices of the Undersecretaries, the Offices of the Assistant Secretaries, and the Home Offices;
- (2)	The Foreign Service Establishments which are the Philippine Embassies, Consulates, Legations and Permanent Missions.

CHAPTER 2 DEPARTMENT PROPER

Section 5. 	 Offices Under the Direct Supervision of the Secretary. - The Secretary shall exercise direct supervision over the following:

- (1)	Foreign Service Institute. - The Foreign Service Institute shall continue to operate under its charter, and shall have the following main objectives and responsibilities:
 - (a)	Program, implement, and manage the Career Foreign Service Development Program (CFSDP) in all of its main components for the purpose of upgrading the professional Career Foreign Service Corps;
 - (b)	Program, implement and manage complementary organizational development programs for the Department as well as other training and educational programs for both its career and non-career personnel, and personnel of other government agencies assigned to foreign missions;

(c)	Program, implement and manage the necessary supportive plans and operating systems for the Career Foreign Service Development Programs and complementary programs;

(d)	Develop its own policies, and rules, program of activities, core staff and consultants, administrative structure, operating systems and resources, in order to enable it to accomplish competently its activities.

It shall be revitalized as the training, research, and career development arm of the Department, in accordance with such rules as may be prescribed by the Secretary. The Institute shall be an integral participant in the planning review process in the Department.

(2)	UNESCO National Commission of the Philippines. - The United Nations Educational Scientific and Cultural Organization (UNESCO) National Commission of the Philippines shall, in coordination with the Office of United Nations and other international organizations, advise the Philippine Government and the Philippine delegation to the UNESCO Conference, on matters relating to UNESCO, and shall function as a liaison agency on matters pertaining to the Commission.

(3)	Technical Assistance Council. - The Technical Assistance Council shall continue to perform its present functions including the conduct and expansion of its programs.

Section 6. 	 Undersecretaries. - The Secretary shall be assisted by two (2) Undersecretaries, who shall be appointed by the President, upon the recommendation of the Secretary. The Secretary shall determine and assign the respective functions and responsibilities of the Undersecretaries. The Secretary shall designate one of the Undersecretaries as Acting Secretary in his absence.

Section 7. 	 Assistant Secretaries. - The Secretary shall be assisted by six (6) Assistant Secretaries who shall be appointed by the President upon recommendation by the Secretary. The Secretary shall delineate the respective areas of responsibility of each Assistant Secretary.

Section 8. 	 Home Offices. -

(1)	Geographical Offices. - The following offices shall be responsible for providing staff support and policy guidance in the coordination, supervision, monitoring, integration, and reporting of the activities and operations of Philippine diplomatic missions and establishments within their geographical coverage:

(a)	Office of Asian and Pacific Affairs: Japan and Northeast Asia, China, Central Asia, Southeast Asia, South Asia and Pacific countries;

(b)	Office of Middle East and African Affairs: the Gulf States, Middle East and North Africa, West Africa and East Africa;

(c)	Office of American Affairs: United States of America, Canada, Mexico, the Central American and Caribbean countries, and South America.

(d)	Office of European Affairs: Union of Soviet Socialist Republics, Western Europe, Eastern Europe and Central Europe.

(2)	Office of ASEAN Affairs. - The Office of ASEAN Affairs shall be responsible for Philippine participation and negotiation, as well as providing staff support and policy guidance in the coordination, supervision, monitoring, integration, reporting and operations of the Philippine Government in the ASEAN.

(3)	Office of the United Nations and Other International Organizations. - The Office of the United Nations and other International Organizations shall be responsible for Philippine participation and negotiation as well as providing staff support and policy guidance in the coordination, supervision, monitoring, integration, reporting and operations of the Philippine Government in the United Nations, its specialized agencies and other international organizations. It shall also serve as the secretariat of all Philippine National Commissions and Councils created pursuant to commitments in the United Nations and its specialized agencies.

(4)	Office of International Economic Affairs and Development. - The Office of International Economic Affairs and Development shall be responsible for conducting programs and activities of the Department in the fields of international trade, finance and economics; coordinate with the regional offices and the Office of United Nations and International Organizations; and, in coordination with the Department of Trade and Industry, conduct trade and investment promotion activities of the Department.

(5)	Office of Cultural Affairs and Public Information Services. - The Office of Cultural Affairs and Public Information Services shall be responsible for promoting the cultural and public information program of the Government abroad and for the development and dissemination of information and the coordination of information activities on the Government's foreign and domestic policies.

(6)	Office of Personnel and Administrative Services. - The Office of Personnel and Administrative Services shall be responsible for the efficient management of human resources and administrative support services, and shall make appropriate recommendations, including those concerning job classification, salary administration, benefits, retirement, and awards to deserving members of the Foreign Service.

(7)	Office of Financial Management Services. - The Office of Financial Management Services shall be responsible for budgetary, financial and accounting services in the Department and the Foreign Service.

(8)	Office of Consular Services. - The Office of Consular Services shall be responsible for the efficient and effective delivery of passport, visa and authentication services. It shall also extend assistance to Filipino nationals both here and abroad.

Section 9. 	 Advisory Boards and Committees. - The Secretary may create such advisory boards and committees as he may deem necessary to assist and provide him with advice in the formulation of policies, as well as designate as special advisers such Chiefs of Mission who are on home assignment on specific areas of their expertise.

CHAPTER 3 DEPARTMENT SERVICES

Section 10. 	 Office of the Legal Adviser. - The Office of the Legal Adviser shall be headed by a Legal Adviser, who shall be a career Chief of Mission. However, the Legal Adviser may be appointed by the President, upon the recommendation of the Secretary, from outside the career service, in which case he shall have the assimilated rank of a Chief of Mission. His term shall be co-terminus with the tenure of the Secretary, unless sooner terminated, and he is not eligible for foreign assignment. The Legal Adviser shall provide legal advice and services to the Department.

Section 11. §; Office of Coordination and Policy Planning. - The Office of Coordination and Policy Planning shall be headed by the Chief Coordinator. The Office of Coordination and Policy Planning shall initiate, coordinate and integrate the planning of foreign policy. It shall provide staff support to the Office of Secretary and perform coordinating and such other functions as may be prescribed by the Secretary.

Section 12. §; Office of Data Banking and Communication. - The Office of Data Banking and Communication shall establish and maintain a modern data and communication center in the Department. The Office shall:

- (1)§;Assist the Secretary on all matters regarding data banking and information retrieval;
- (2)§;Establish, develop and maintain a computerized foreign-relations data bank for the Department;
- (3)§;Establish, develop and maintain both domestic and foreign service communications systems, including efficient flow systems for all correspondence between and among all Department units;
- (4)§;Establish, develop and maintain the records system of the entire Department;
- (5)§;Provide technical assistance to any service, office, or attached agency of the Department, on matters within its competence; and
- (6)§;Perform such other functions as may be assigned by the Secretary.

Section 13. §; Office of Protocol, State and Official Visits. - The Office of Protocol, State and Official Visits shall coordinate preparations for state visits, the reception of Chiefs of State, heads of Government, the highest foreign dignitaries visiting the Philippines, as well as official visits of Philippine officials abroad, as may be determined by the President. It shall also be responsible for handling all activities of the Department concerning protocol, ceremonials and socials, the proper observance and enforcement of formalities, courtesies, facilities, immunities and privileges under the Vienna Convention on Diplomatic Relations and the Vienna Convention on Consular Relations, and other applicable conventions and agreements.

Section 14. §; Office of Intelligence and Security. - The Office of Intelligence and Security shall adopt a system of information gathering and analysis, act as liaison with the intelligence community, and provide security services in the Department. It shall also undertake the enforcement and monitoring of security procedures in the Department and Foreign Service establishments.

CHAPTER 4 BOARD OF FOREIGN SERVICE ADMINISTRATION

Section 15. §; Composition. - The Board of Foreign Service Administration shall be composed of nine (9) members: one (1) Undersecretary as Chairman; the other Undersecretary as Vice-Chairman; the six (6) Assistant Secretaries and the Legal Adviser, as members.

Section 16. §; Functions. - The Board shall be responsible for considering and recommending policies for the efficient and economical discharge of the administrative operations of the Department and the Foreign Service. It shall also consider and submit recommendation on policy and other matters concerning personnel, including the appointment, promotion and assignment of Foreign Service Staff Officers and Employees, as well as recommend to the President through the Secretary the appointment and promotion of Foreign Service Officers, Counselors and Chiefs of Mission. It shall also act and submit recommendations on administrative cases involving personnel of the Department and the Foreign Service.

CHAPTER 5 BOARD OF FOREIGN SERVICE EXAMINERS

Section 17. § Composition. - The Board of Foreign Service Examiners shall be composed of one (1) Undersecretary as Chairman; and the Assistant Secretary for Personnel and Administrative Services and a Commissioner of the Civil Service Commission as members. The Board shall be under the administrative supervision of such Undersecretary.

Section 18. § Functions. - The Board shall be responsible for planning and administering the Foreign Service Officers Examinations and the Foreign Service Staff Officers and Foreign Service Staff Employees Examinations.

CHAPTER 6 ATTACHED AGENCIES

Section 19. § Attached Agencies. - The Law of the Sea Secretariat, the Inter-Agency Technical Committee on Economic, Scientific and Technical Cooperation with Socialist Countries (SOCCOM), the Inter-Agency Technical Committee on Technical Cooperation Among Developing Countries (IATC-TCDC), the Permanent Inter-Agency Technical Committee on ESCAP Matters (PITCEM), and other agencies attached to the Department shall continue to operate and function in accordance with their respective charters or laws creating them, except as otherwise provided in this Code.

CHAPTER 7 THE FOREIGN SERVICE

Section 20. § Functions of Diplomatic Missions. - The Diplomatic Missions shall:

- (1)§ Represent the Philippines abroad and promote friendly relations with other countries in all fields;
- (2)§ Protect national interests and the interests of Filipino nationals abroad;
- (3)§ Ascertain and evaluate conditions and developments abroad and report thereon to the Department Head;
- (4)§ Serve as channels of communication between the Government of the Philippines and foreign governments; and
- (5)§ Perform such other functions provided by law.

Section 21. § Functions of Consular Establishments. - The consular establishments shall:

- (1)§ Protect national interests abroad and promote foreign relations in all fields, particularly in the economic and trade areas;
 - (2)§ Ascertain and evaluate conditions and developments abroad in the commercial, economic, cultural and scientific fields and report thereon to the Department Head;
 - (3)§ Issue passports and travel documents to Filipino nationals, and visas or appropriate documents to foreign nationals desiring to travel to the Philippines;
 - (4)§ Protect the interests of Filipino nationals abroad, provide necessary services and assistance, and perform notarial functions allowed by regulations;
 - (5)§ Transmit judicial and extra-judicial documents and execute letters rogatory or commissions to receive evidence abroad for Philippine courts;
 - (6)§ Supervise and inspect in accordance with laws and regulations of the Philippines, vessels and aircrafts and their crews; and
- Perform such other functions as may be provided by law.

CHAPTER 8 ATTACHES AND REPRESENTATIVES

Section 22. §; Attaches of the Department. - The Department Head shall designate attaches of the Department from the ranks of Foreign Service Officers and Foreign Service Staff Officers.

Section 23. §; Attaches of Other Departments. - The assignment abroad of personnel in any Department, Bureau or office of the Philippine government as attaches or representatives shall have the prior clearance of the Secretary of Foreign Affairs. The clearance shall include such matters as the actual need for opening particular types of attache services, and the specific places where these services will be made available.

Section 24. §; Appointment and Accreditation of Attaches. -

(1)§;The authority to appoint attaches shall be vested in the Head of the Department or agency maintaining the attache service, who shall consult with the Secretary of Foreign Affairs on such appointments.

(2)§;A Department or agency shall have only one attache accredited to it by the receiving government, except military attaches.

(3)§;The designation of attaches shall apply only to those serving in diplomatic missions. Those assigned to consular establishments shall be designated as representatives.

Except in extraordinary cases, each foreign service establishment shall have only military, labor, revenue, tourism, information and commercial attaches.

In the event of the actual need for more than one attache, as determined by the department or agency in consultation with the Department of Foreign Affairs, the succeeding attache shall be accredited as assistant attache.

Section 25. §; Relationships Between the Chief of Mission and Attaches. - The Chief of Mission shall be responsible for the conduct of affairs of government at the diplomatic posts. All attaches and representatives of other departments, shall during their tour of duty, be under the immediate control and administrative supervision of the Chief of Mission where they are assigned. They shall be required to submit their reports to their agencies through the Chief of Mission and the Department of Foreign Affairs, except when national security requires otherwise. They shall clear with the Chief of Mission all their public pronouncements at the diplomatic post, and all the documents and materials they send shall be transmitted through the diplomatic pouch.

The supremacy of the Chief of Mission for the conduct of foreign relations at the post is established. The Chief of Mission shall have the authority to discipline attaches within his Mission, including the authority to have them recalled, if necessary.

Section 26. §; Assimilated Ranks. -

(1)§;Except as the President may appoint, no officer of the Philippine government stationed abroad, outside the Department of Foreign Affairs, shall be assigned assimilated ranks higher than Foreign Service Officer Class I.

(2)§;The assignment of assimilated rank personnel of the Philippine government stationed abroad shall remain with the President who shall act on the basis of recommendations of the Department of Foreign Affairs and the Department of Budget and Management.

(3)	The assimilated ranks are for purposes of compensation only and shall not confer diplomatic rank for purposes of protocol. Civil attaches shall always rank after the lowest ranking Foreign Service officer in the post.

Section 27. 	 Relationship Between the Consul-General or the Principal Officer at the Consulate and the Representative. - The relationship of the Consul-General or the Principal Officer at the post and the Representatives assigned to the said post shall be the same as the relationship between the Chief of Mission and the attaches.

Section 28. 	 Uniform Rules for Attache Services. - A uniform set of rules and regulations shall govern attache and representative services. This shall be drafted by an Inter-Department Committee to be composed of the Undersecretary of Foreign Affairs as Chairman, and the Undersecretaries, or equivalent officials, of the Departments or agencies with attaches or representatives abroad, as members.

CHAPTER 9 PERSONNEL

Section 29. 	 Policy. - To enable the Foreign Service to effectively serve abroad the interests of the Republic of the Philippines, it shall be the policy of the Department that only persons who are competent, of good moral character, and fully informed of the Philippine History and current trends in Filipino life shall be appointed to the service.

Section 30. 	 Categories of Officers and Employees. - The Service shall consist of the following categories of officers and employees:

(1)	Chiefs of Missions

(2)	Counsellors

(3)	Foreign Service Officers

(4)	Foreign Service Staff Officers

(5)	Foreign Service Staff Employees

(6)	Honorary Consuls

(7)	Alien Employees

Section 31. 	 Foreign Service Officers. - There shall be a career service composed of foreign service officers. The Service shall consist of six classes of Foreign Service Officers including Chiefs of Missions and Counsellors.

(1)	A Chief of Mission may be assigned as Ambassador Extraordinary and Plenipotentiary, Head of an Office in the Department, or Deputy Chief of Mission.

(2)	A Counsellor may be assigned as Executive Officer of an Office in the Department, Counsellor in an Embassy, or Head of a Consular Post.

(3)	The assignments of the other classes of Foreign Service Officers shall be as follows:

Home Office Service

Diplomatic Service

Consular

Class I

-Chief of Division First Secretary

Consul

Class II

-Chief of Division Secondary Secretary

Consul

Class III

-Chief of Division Third Secretary

Consul

Class IV

-Asst. Chief of Division Third Secretary

Vice-Consul

(4)	In the home office, assignment to a position requiring a rank higher than the actual rank of the Foreign Service Officer shall be in an acting capacity.

(5)	A Foreign Service Officer in any class may be designated as a special assistant to the Secretary or to an Undersecretary. A Foreign Service Officer below the rank of Class I may be designated as Principal Assistant to a Head of Office.

Section 32. 	Foreign Service Staff Officers. - There shall be three classes of Foreign Service Staff Employees to provide the administrative and technical services.

Section 33. 	Foreign Service Staff Employees. - There shall be three classes of Foreign Service Staff Employees to provide the clerical, custodial, messengerial and similar services.

Section 34. 	Honorary Consuls. - Honorary consuls shall be appointed from among qualified private persons to perform certain consular functions on a non-career basis.

CHAPTER 10 APPOINTMENTS, COMPENSATION AND BENEFITS

Section 35. 	 Foreign Service Officers. -

(1)	Foreign Service Officers shall be appointed by the President.

(2)	No person shall be eligible for appointment as Foreign Service Officers unless he has passed the competitive examinations given by the Board of Foreign Service Examiners and successfully completed his probationary service.

(3)	The Secretary shall, upon the recommendation of the Board of Foreign Service, submit to the President names of eligibles for appointment as Foreign Service Officers. The initial appointment of Foreign Service Officers shall only be to Foreign Service Officers Class IV minimum.

Section 36. 	 Staff Officers and Employees. - The Secretary shall appoint, in accordance with the Civil Service Law, all Foreign Service Officers and Foreign Service Staff Employees who must be in the Philippines at the time of their original or initial appointment.

Section 37. 	 Alien Employees. - The Secretary shall, upon the recommendation of the head of diplomatic or consular establishment and as much as possible in accordance with the Civil Service Law, appoint alien employees who shall be recruited at the post to supplement the regular staff of a foreign service establishment.

Section 38. 	 Compensation and Benefits. - The salaries, allowances, travel expenses, insurance and other benefits of Foreign Service Officers, and Employees shall be as provided by law and regulations.

CHAPTER 11 PROMOTIONS

Section 39. 	 Merit Promotion System. - The Board of the Foreign Service shall establish a merit promotion system for all officers and employees of the Department.

Section 40. 	 Requirements for Promotion in the Career Service. -

(1)	For promotion to Chief of Mission Class I, the candidate must have served as a Chief of Mission Class II and rendered continuous service as Foreign Service Officer for at least twelve (12) years;

(2)	For promotion to Chief of Mission Class II, the candidate must have served as a Foreign Service Officer Class I and rendered continuous service as Foreign Service Officer for at least ten years;

(3)	For promotion to Foreign Service Officer Class I, the candidate must have served as a Foreign Service Officer Class II, and rendered continuous service as Foreign Service Officer for at least eight years;

(4)	For promotion to Foreign Service Officer Class II, the candidate must have served as Foreign Service Officer Class III, and rendered continuous service as Foreign Service Officer for at least six years;

(5)	For promotion to Foreign Service Officer Class III, the candidate must have rendered continuous service as a Foreign Service Officer Class IV for at least two years.

Section 41. 	 Promotion of Foreign Service Officers. -

(1)	Promotions of Foreign Service Officers from one class to the next higher class shall be made by the President upon the recommendation of the Secretary. All promotions shall be to the lowest grade of the class.

(2)	Promotion in grade within the class shall be made by the Secretary upon the recommendation of the Board of Foreign Service Administration.

Section 42. § Promotion of Foreign Service Staff Officers, Foreign Service Staff Employees and Alien Employees. - Promotions of foreign service staff officers and employees and alien employees shall be made by the Secretary, upon recommendation of the Board of the Foreign Service Administration in accordance with the promotion system.

CHAPTER 12 ASSIGNMENTS AND TRANSFERS

Section 43. § Rotation Plan. - The secretary shall establish a system of assignments and transfers to ensure that all qualified officers and employees, except the employees in the non-career service, shall serve in diplomatic and consular establishments in different regions of the world. The assignment and transfer of personnel shall follow a regular rotation plan. For purposes of assignments, the home office shall be considered a post. All personnel shall be available for assignment to any post.

Section 44. § Initial Home Office Requirement. - No Foreign Service Officer, Staff Officer or Employee shall be assigned to any foreign service establishment unless he has rendered continuous and satisfactory service in the home office for at least three (3) years.

Section 45. § Tour of Duty. -

(1)§ The tour of duty of a Foreign Service Officer at any post shall be four (4) years commencing on the date of his arrival at the post, after which he shall be transferred to another post;

(2)§ The tour of duty of a Foreign Service Staff Officer or Employee at any post shall be for a period of six (6) years commencing on the date of his arrival at the post, after which he shall be transferred to another post;

(3)§ No Foreign Service Officer, Staff Officer or Employee shall serve more than two (2) consecutive tours of duty abroad;

(4)§ No Foreign Service Officer may serve more than four (4) consecutive years in the home office, except when designated as Secretary or Undersecretary.

Section 46. § Retirement. -

(1)§ Any Foreign Service Officer, Staff Officer or Employee who has reached the age of sixty-five (65) shall be compulsorily retired from the services unless his service is extended by the President in the interest of the service. Alien employees shall be allowed to retire from the service at the same age as that provided for employees of the governments of their respective countries, provided that retirement age shall not be beyond sixty-five (65) years.

(2)§ Foreign Service Officers reinstated to the service after retirement and who are assigned abroad as ambassadors or chief of mission, and persons who are appointed as ambassadors without previously serving as Career Foreign Service Officers shall be considered automatically separated from the Foreign Service upon termination of their assignment abroad as ambassadors or chief of missions.

Section 47. § Resignation. - The Secretary shall have authority to accept the resignation of any Foreign Service Officer, Staff Employee, Honorary Consul and Alien Employee.

CHAPTER 13 PASSPORT

Section 48. §; Definition. - A Philippine passport is an official document of identity of Philippine citizenship of the holder issued for travel purposes.

Section 49. §; Persons Entitled. - Only citizens of the Philippines may be issued passports. A minor may, upon his own application, be issued a passport, except when his natural or legal guardian requests that the application be denied.

Section 50. §; Authority to Issue, Restrict, Withdraw or Cancel. - The Secretary shall have authority to withhold the issuance or order the cancellation or restriction of passports upon lawful order of the court or when he deems it necessary in the interest of national security, public safety or public health, or in cases when a passport was secured through misrepresentation or fraud.

Section 51. §; Period of Validity, Extension and Renewal. - The original period of validity of a Philippine passport is two (2) years. It may be extended for another two (2) years provided that the application for extension is made before the expiration of four (4) years from the date of original issue of the passport. However, the validity of a passport may be limited for a certain period or for a definite purpose.

Section 52. §; Supplementary Regulation. - The Secretary may prescribe supplementary regulations for the issuance, extension or amendment of all kinds of passports.

Section 53. §; Amendments. - Upon application, an unexpired passport may be amended to reflect the new civil status or new name or surname of the holder, or to add more pages, or to modify a condition or restriction therein.

Section 54. §; Fees. - The Secretary shall prescribe uniform fees for the issuance, extension and amendment of passports, and such other services that may be rendered by the Department relating to passports. However, no fee shall be collected for the issuance of passports to government officials proceeding abroad in the discharge of their official duties attested by regular travel orders or for those issued to immediate members of their families on official travel.

CHAPTER 14 MISCELLANEOUS PROVISIONS

Section 55. §; Use of Savings. - The Secretary is authorized to use any savings in the appropriations for the Department for the payment of: (a) expenses for the evacuation or repatriation to the Philippines, when necessary due to an emergency, of members of the household of the personnel of any diplomatic or consular establishment as well as the transportation of their personal effects; (b) actual return passage by the most direct and economical means of transportation and the cost of shipment of the household effects to Manila of any officer or employee in the Foreign Service, including the immediate dependent members of his family, who resigns or is separated from the service for cause; (c) the cost of preparing and transporting the remains of an officer or employee who is a citizen of the Philippines and the immediate members of his family who may die abroad or while in travel status; or (d) contingent and unforeseen expenses that may arise in connection with the operation of the Foreign Service.

Section 56. § Pool of Foreign Service Officers. - In all appropriation acts providing funds for the operation and maintenance of the Department, the positions of Foreign Service Officers, including those who may serve in the home office, shall be in a pool grouped according to their classes with their salaries and allowances indicated in one lump sum for each class, leaving to the head of office the discretion to assign or commission those officers whenever their services may be utilized to advantage, subject to the limitations provided by law.

Title II

FINANCE

CHAPTER 1 GENERAL PROVISIONS

Section 1. § Declaration of Policy. - It is the policy of the State that the Department of Finance shall be primarily responsible for the sound and efficient management of the financial resources of the Government, its subdivisions, agencies and instrumentalities.

Section 2. § Mandate. - The Department shall be responsible for the formulation, institutionalization and administration of fiscal policies in coordination with other concerned subdivisions, agencies and instrumentalities of government.

Moreover, the Department shall be responsible for the generation and management of the financial resources of the government, ensuring that said resources are generated and managed judiciously and in a manner supportive of development objectives.

The Department shall be responsible for the supervision of the revenue operations of all local government units, with the objective of making these entities less dependent on funding from the national government.

Finally, the Department shall be responsible for the review, approval and management of all public sector debt, whether foreign or domestic, with the end in view of ensuring that all borrowed funds are effectively utilized and all such obligations are promptly serviced by the government.

Section 3. § Powers and Functions. - To accomplish its goals, the Department shall:

(1) § Formulate long-range, medium-term and annual plans covering the government's resources mobilization efforts, in coordination with other concerned government agencies, and involving all public sector resources whether generated by revenues and operations, foreign and domestic borrowing, sale or privatization of corporations or assets, or from other sources, and supervise the implementation of such plans;

(2) § Formulate, institutionalize and administer fiscal and tax policies;

(3) § Supervise, direct and control the collection of government revenues;

(4) § Act as custodian and manage all financial resources of the national government;

(5) § Undertake and supervise activities related to the negotiation, servicing and restructuring of domestic and foreign debt incurred or guaranteed by the government and its instrumentalities, including taking part in activities which affect the country's capacity to service foreign debt;

(6)	Review and coordinate the policies, plans and programs of government financial institutions and, thereafter, recommend to them courses of action consistent with national government fiscal policies, plans and programs;

(7)	Ensure the implementation of necessary policies and measures on local revenue administration;

(8)	Coordinate with other government agencies on matters concerning fiscal and monetary policies, credit, economic development, international finance, trade and investment; and

(9)	Perform such other powers and functions as may be provided by law.

Section 4. 	 Organizational Structure. - The Department shall consist of the Department proper comprising the Office of the Secretary, the Offices of the Undersecretary and Assistant Secretaries, the Economic Intelligence and Investigation Bureau, the Service, the Operations Groups and their constituent units, and the Regional Offices.

CHAPTER 2 DEPARTMENT PROPER

Section 5. 	 Office of the Secretary. - The Office of the Secretary shall consist of the Secretary, his Undersecretary and their immediate staffs.

Section 6. 	 Undersecretaries. - The Secretary shall be assisted by five (5) Undersecretaries appointed by the President upon the recommendation of the Secretary, each of whom shall head, respectively, the Policy Development and Management Services Group mentioned in Section 8 hereof and the four (4) Operations Groups mentioned in Section 9 hereof.

Section 7. 	 Assistant Secretaries. - The Secretary shall also be assisted by five (5) Assistant Secretaries appointed by the President upon the recommendation of the Secretary. The respective assignments of the Assistant Secretaries and the reporting procedures to be followed by them shall be determined by the Secretary.

CHAPTER 3 DEPARTMENT SERVICES

Section 8. 	 Policy Development and Management Services Group. - The Policy Development and Management Services Group, which shall be headed by an Undersecretary, shall consist of the following:

(1)	Planning and Policy Research Office;

(2)	Central Management Information Office;

(3)	Central Administration Office;

(4)	Central Financial Management Office;

(5)	Public Information and Assistance Office;

(6)	Legal Office; and

(7)	Regional Coordination Office.

Section 9. 	 Planning and Policy Research Office. - The Planning and Policy Research Office shall have the following functions:

- (1)	Formulate long-range and annual projections of revenue needs, cash position and borrowing capacity of the Government as basis for policy decisions of the department;
- (2)	Supervise policy research and development on fiscal and tax measures undertaken by the operating bureaus and offices of the department;
- (3)	Coordinate with other government agencies on policy research and its impact on fiscal and tax measures; and
- (4)	Perform such other functions as may be assigned by the Secretary or his undersecretaries.

Section 10. 	 Central Management Information Office. - The Central Management Information Office shall have the following functions:

- (1)	Establish a Management Information System and sub-systems for monitoring and evaluation of department-wide programs and projects, including those that are executed by operating Bureaus and Offices;
- (2)	Formulate policies, plans and procedures for data control and systems management;
- (3)	Act as the central repository of existing and future computer files; and
- (4)	Perform such other appropriate functions as may be assigned by the Secretary or his undersecretaries.

Section 11. 	 Central Administration Office. - The Central Administration Office shall have the following functions:

- (1)	Supervise Department-wide services relating to internal cash management, personnel administration, property and supplies procurement, and custody; and maintenance of central files, and corresponding reporting systems;
- (2)	Assist in the formulation of policies and guidelines on the management of human and physical resources and general housekeeping activities for uniformity and standardization;
- (3)	Serve as a center for the establishment and periodic evaluation of management operation systems, internal control and work outputs to determine Department-wide performance efficiency;
- (4)	Design and develop training policies and guidelines, administer and evaluate training programs and in coordination with external training institutions, screen and recommend to the Secretary the participation of Department personnel in training programs, seminars and conferences in the country or abroad;
- (5)	Ensure that Department-wide activities and efforts are focused towards a central direction as embodied in the national socio-economic development plans; and
- (6)	Perform such other appropriate functions as may be assigned by the Department or his Undersecretaries.

Section 12. 	 Central Financial Management Office. - The Central Financial Management Office shall have the following functions:

- (1)	Supervise Department-wide activities relating to budget preparation and management, department accounting, and internal audit;
- (2)	Perform such other appropriate functions as may be assigned by the Department or his Secretary or his Undersecretaries.

Section 13. 	 Public Information and Assistance Office. - The Public Information and Assistance Office shall have the following functions:

(1)	Provide policy direction and guidance to the operating Bureaus and Offices of the Department for the proper dissemination of appropriate information or Department- wide programs, operations and activities;

(2)	Provide the operating Bureaus and Offices with the general framework for rendering direct assistance to the general public;

(3)	Receive complaints and grievances from the general public; prepare referrals to concerned Bureaus and Offices and monitor responses or actions taken; and

(4)	Perform such other appropriate functions as may be assigned by the Secretary or Undersecretary for Policy Development and Management Service.

Section 14. 	 Legal Office. - The Legal Office shall have the following functions:

(1)	Prepare draft opinions or rulings for the signature of the Department Secretary or his Undersecretaries on matters elevated to it by the Bureaus and Offices of the Department;

(2)	Conduct legal researches on all matters referred to it by the Secretary or his Undersecretaries; and

(3)	Perform such other appropriate functions as may be assigned by the Secretary or his Undersecretaries.

Section 15. 	 Regional Coordination Office. - The function of the Regional Coordination Office is to coordinate the operations of the Regional Offices.

CHAPTER 4 BUREAUS

Section 16. 	 Operations Groups. - The Operation Groups, each of which shall be headed by an Undersecretary, shall consist of the following:

(1)	Revenue Operations Group, composed of the following:

(a)	Bureau of Internal Revenue;

(b)	Bureau of Customs;

(c)	Revenue Service;

(d)	Legal Service;

(2)	Domestic Operations Group, composed of the following:

(a)	Bureau of Treasury;

(b)	Bureau of Local Government Finance;

(c)	Financial and Fiscal Policy and Planning Office;

(3)	International Finance Group, composed of the following:

(a)	International Finance Policy Office;

(b)	International Finance Operations Office.

Section 17. 	 Economic Intelligence and Investigation Bureau. - The Economic Intelligence and Investigation Bureau, which shall be headed by and subject to the supervision and control of the Commissioner, who shall in turn be appointed by the President

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